ARC RESEARCH · SPECIAL TOPICS

Brazil 2026

The runoff, the market reaction, the new Congress and the macro backdrop

Data as of 8 Oct 2026 · Runoff 25 Oct



Lula (PT) vs Flávio Bolsonaro (PL)

Educational purposes only, not investment advice.

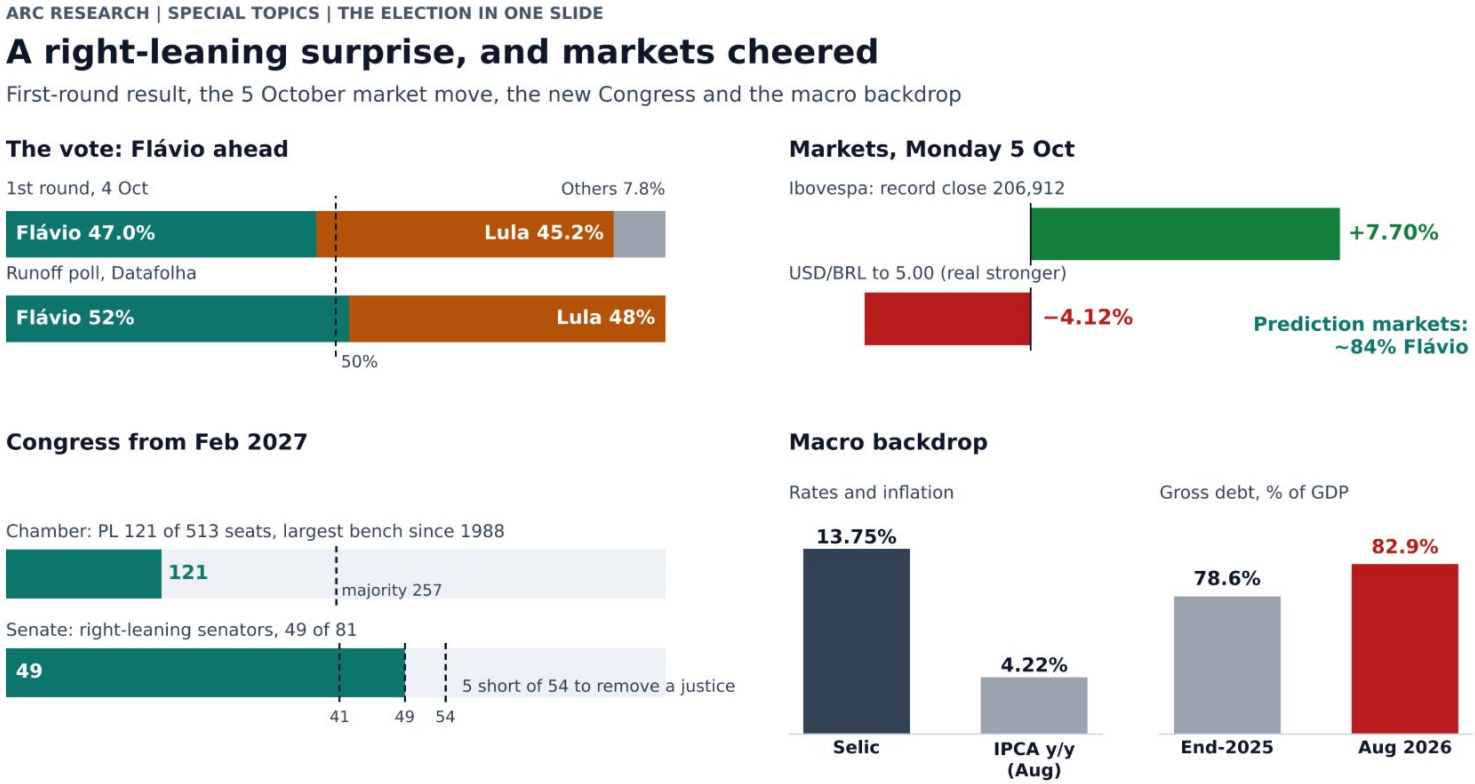
AGENDA

Six sections, then our view

1	**Brazil's economy 101**	Structure, trade, cycles, policy, stocks	Slides 4–10
2	**The race**	Candidates, their plans, result, runoff	Slides 11–21
3	**The Bolsonaro precedent**	Jair's 2019–22 policies and markets	Slides 22–28
4	**Market reaction**	Record rally, rates, Street scenarios	Slides 29–37
5	**Congress**	Seats, coalitions, what each could pass	Slides 38–43
6	**Macro now**	Rates, prices, household squeeze, fiscal	Slides 44–52

Also: the election in one slide (3) · ARC Bayesian model (53–54) · view and watch list (55–56) · Sources (57)

A right-leaning surprise, and markets cheered



SO WHAT

Flávio leads; runoff 25 Oct

Markets priced a Flávio win

Right-leaning Congress, high debt

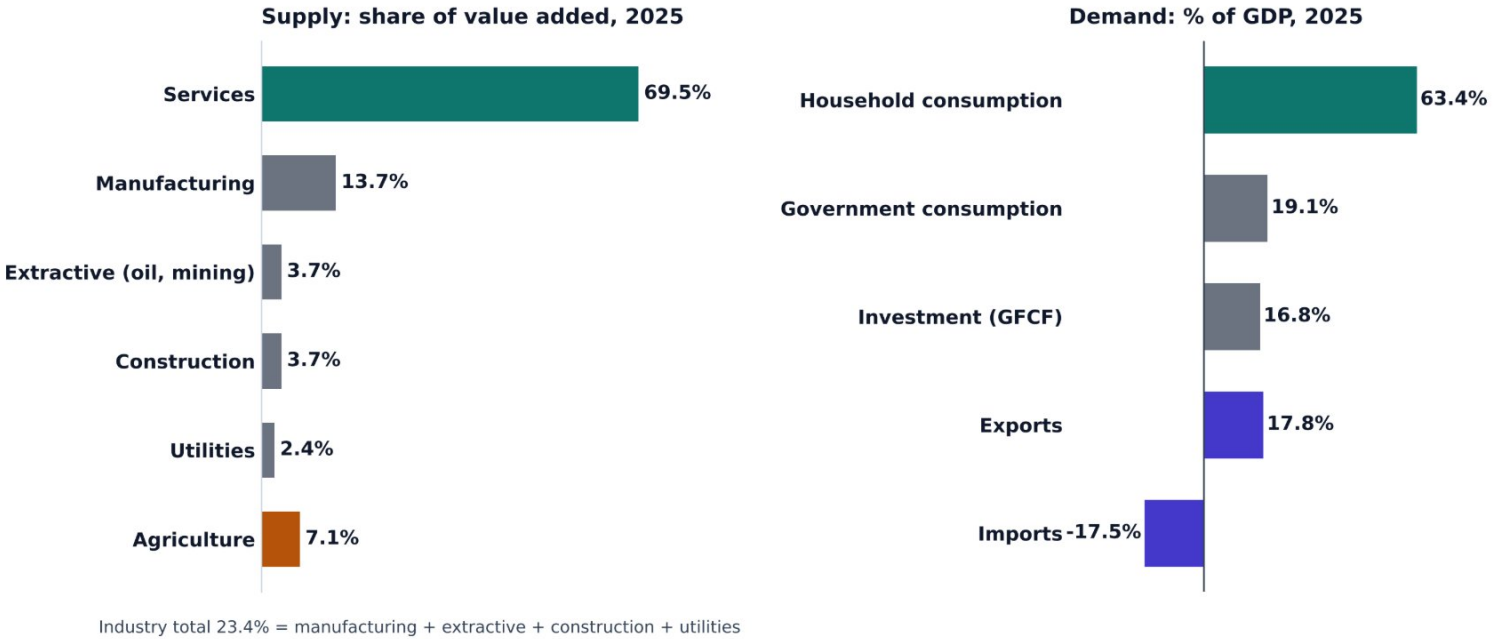
SECTION 1 OF 6

Brazil's economy 101

What it makes, who buys it, and who steers it

5 · Structure of the economy
6 · Trade: China, oil, soy
7 · 25 years of growth cycles
8 · How policy works
9 · What the Ibovespa is made of
10 · Who owns and trades B3

A consumer economy: services and households



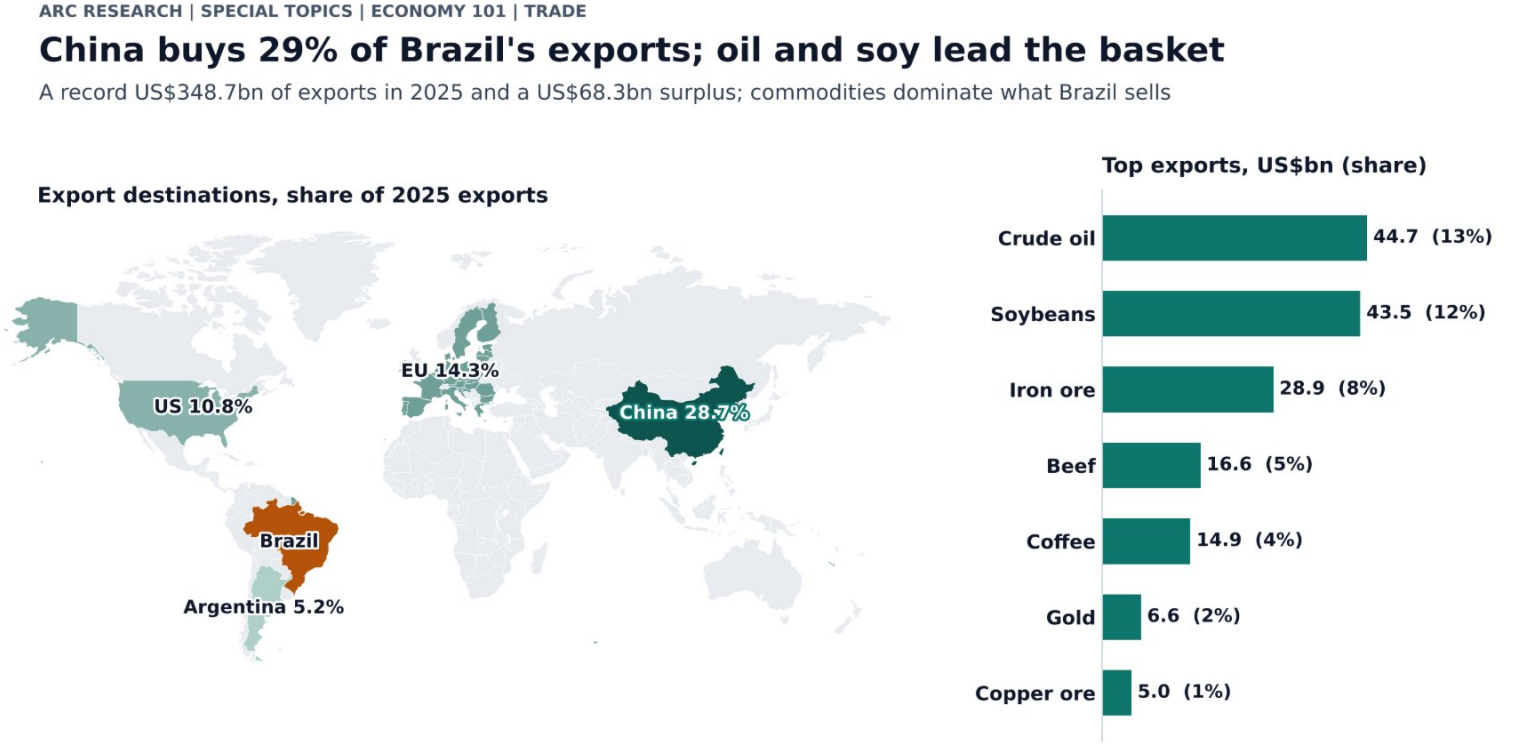
SO WHAT

GDP R$12.7tn · ~US$2.3tn

Investment just 16.8%

Consumers drive the cycle

China buys 29%; oil, soy and iron ore lead



SO WHAT

Record US$348.7bn exports

Commodity prices move BRL

China ties a policy issue

Boom, bust, recovery: 25 years of growth



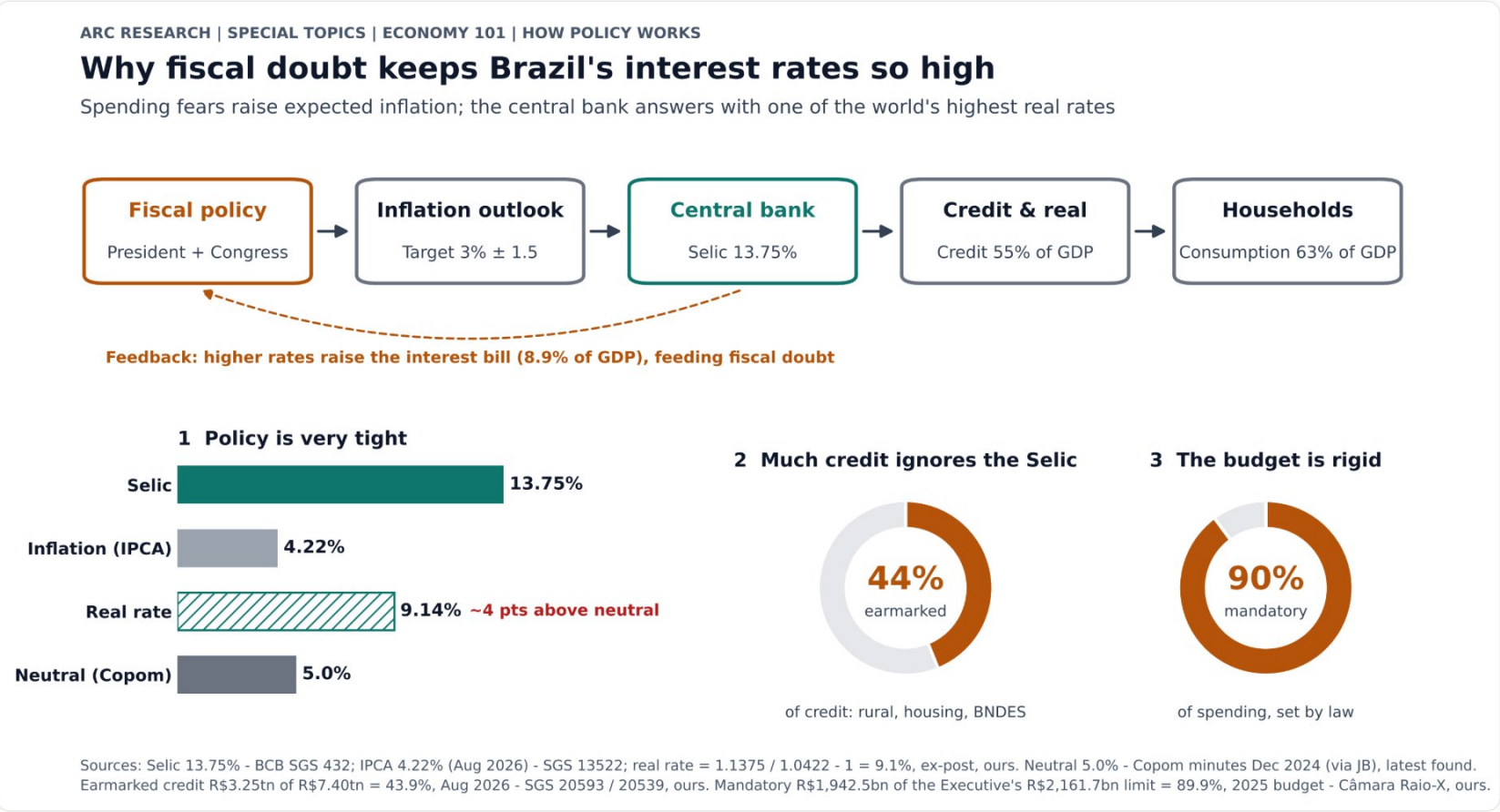
SO WHAT

2000s: commodity boom

2015–16: deep recession

~3% a year since 2022

Why fiscal doubt means sky-high interest rates



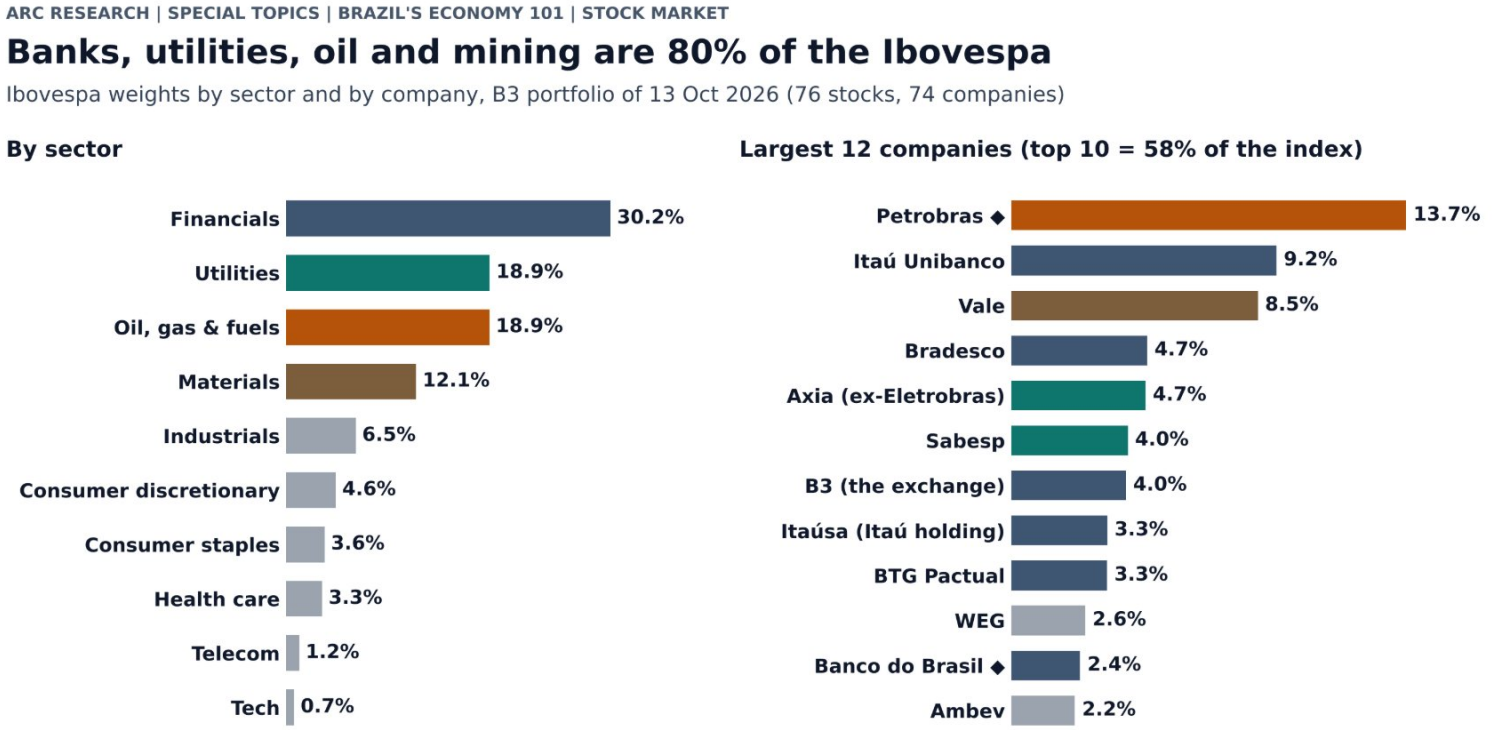
SO WHAT

Real rate ~9%, neutral 5%

Selic works on half of credit

Elections move rates

Banks, oil, mining and utilities run the Ibovespa



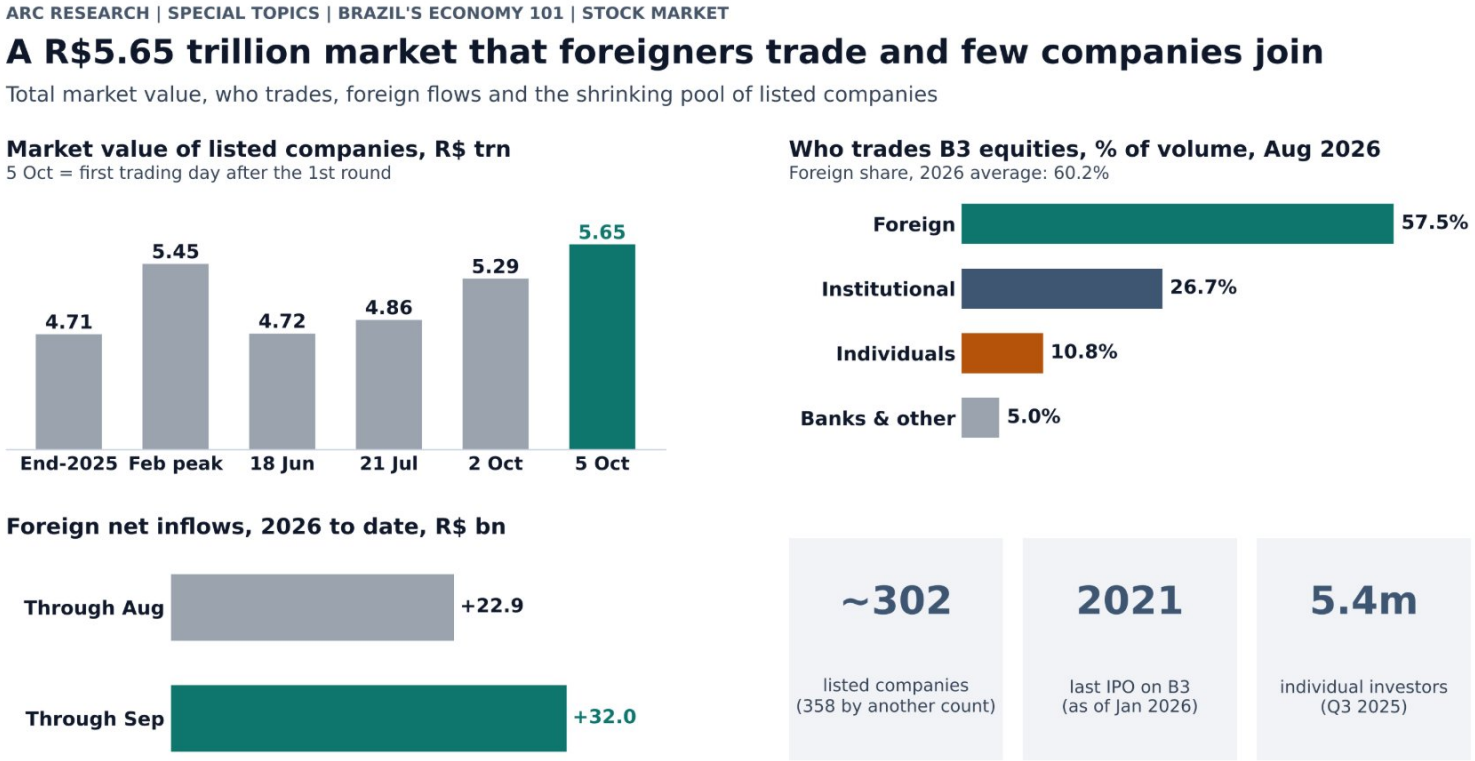
SO WHAT

Four sectors = 80% of index

Top 10 companies = 58%

Tech is under 1%

Foreigners trade most of it; few firms list



SO WHAT

Market value R$5.65trn

Foreigners: ~58–60% of volume

No IPO since 2021

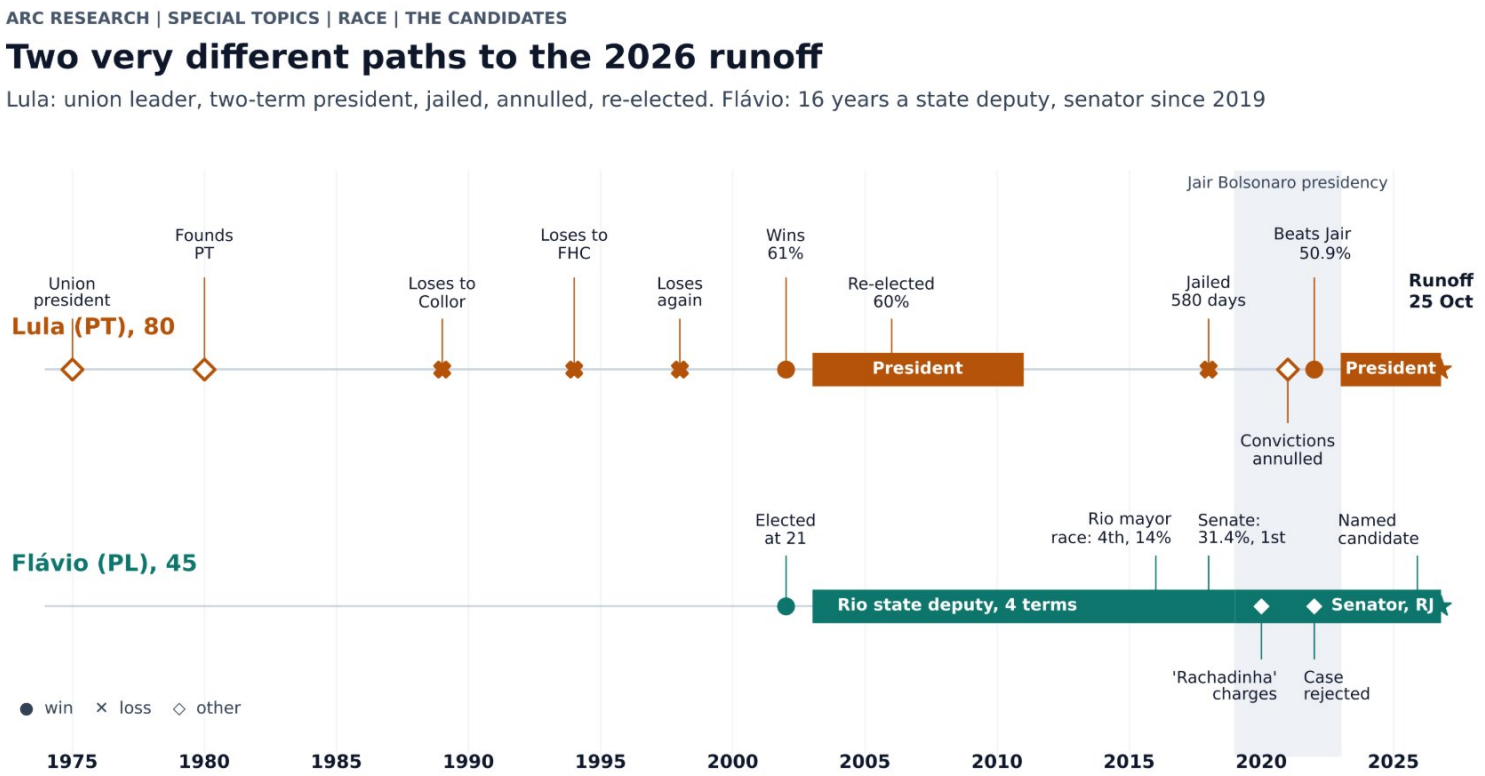
SECTION 2 OF 6

The race

Who they are, what they'd change, how round one went

12–13 · The candidates
14–15 · What each would change
16 · Plans vs the debt
17–19 · Result, polls, state map
20 · Runoff arithmetic
21 · Runoff polls

Two very different paths to the runoff



SO WHAT

Lula: 5 decades in politics

Flávio: never held executive office

Age gap: 80 vs 45

The veteran and the heir



Flávio Bolsonaro

PL · 45 · Resende, Rio de Janeiro

Before politics	Law graduate; elected at 21
Offices	Rio deputy 2003–19; senator since 2019
Known for	Public security; his father's heir
Legal	'Rachadinha' case shelved; no conviction
Running mate	Alfredo Gaspar, ex-prosecutor
Economy team	Daniella Marques, Adolfo Sachsida



Lula

PT · 80 · Caetés, Pernambuco

Before politics	Lathe operator; union leader
Offices	President 2003–10, 2023–
Known for	Bolsa Família; 2000s boom
Legal	Jailed 580 days; convictions annulled
Running mate	Geraldo Alckmin, vice-president
Economy team	Dario Durigan; Haddad advises

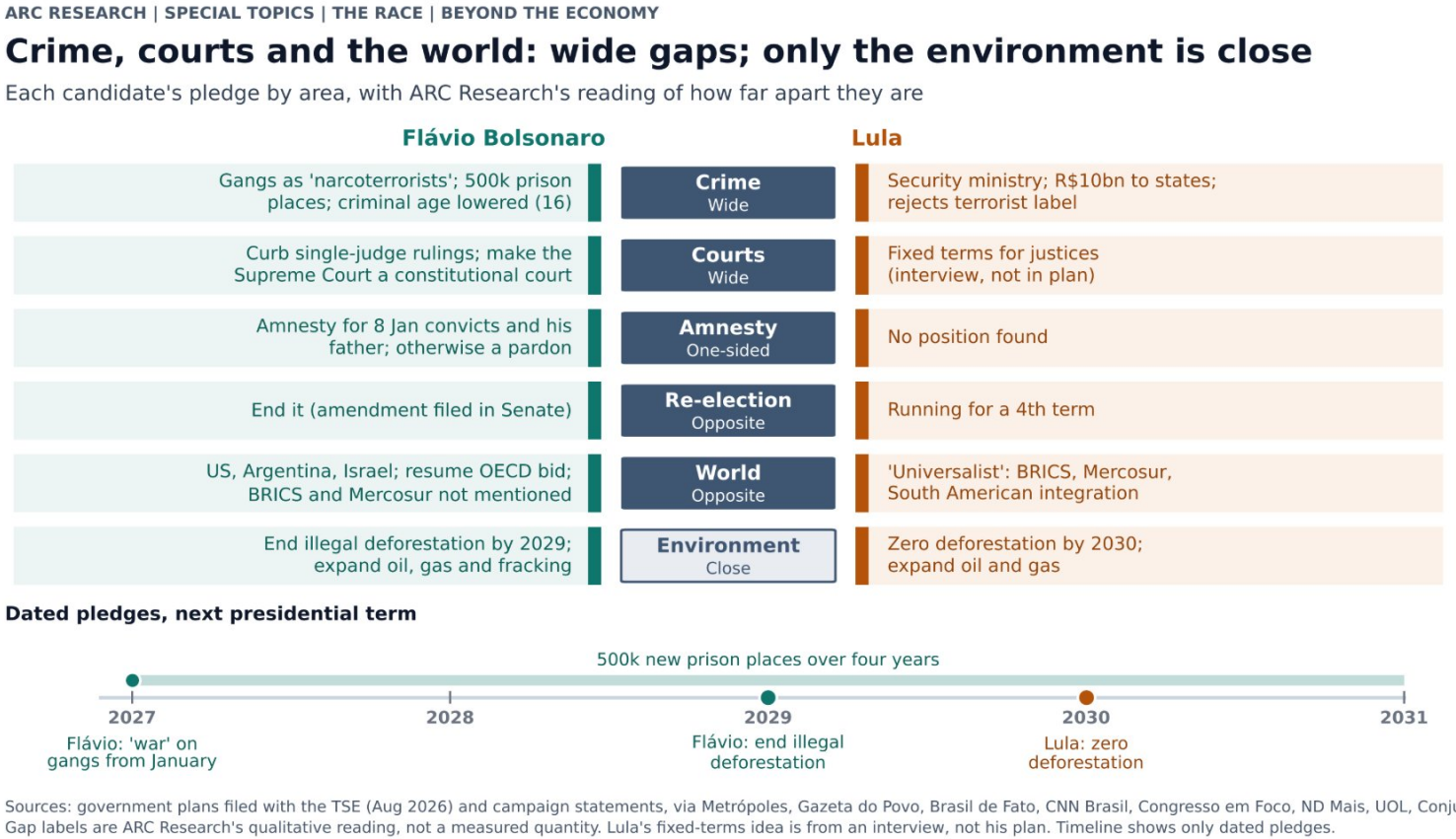
Flávio would cut and reshape; Lula would extend

Area	◀ Smaller state · Today · Bigger ▶	Flávio	Lula
Fiscal rule		Replace 2023 rule with a new cap	Keep rule: spending +0.6–2.5% real
Spending		Cut ≥10 ministries; ~1.5% of GDP	No cuts; end tax privileges
Taxes		Lower VAT rate; phase out IOF	Keep R$5k exemption; tax super-rich
State firms		Privatise; keep Petrobras, BB, Caixa	Petrobras back into fuel retail
Central bank		Independence respected	Seeks “sustained” rate cuts
Social		Keep Bolsa Família at R$691	Expand Bolsa Família; Desenrola 3.0
Work		Hourly and youth contracts	End the 6-day week (6x1)

Market read: lower rates if cuts are credible

Market read: more spending, higher risk premium

Crime, courts and the world: sharp contrasts



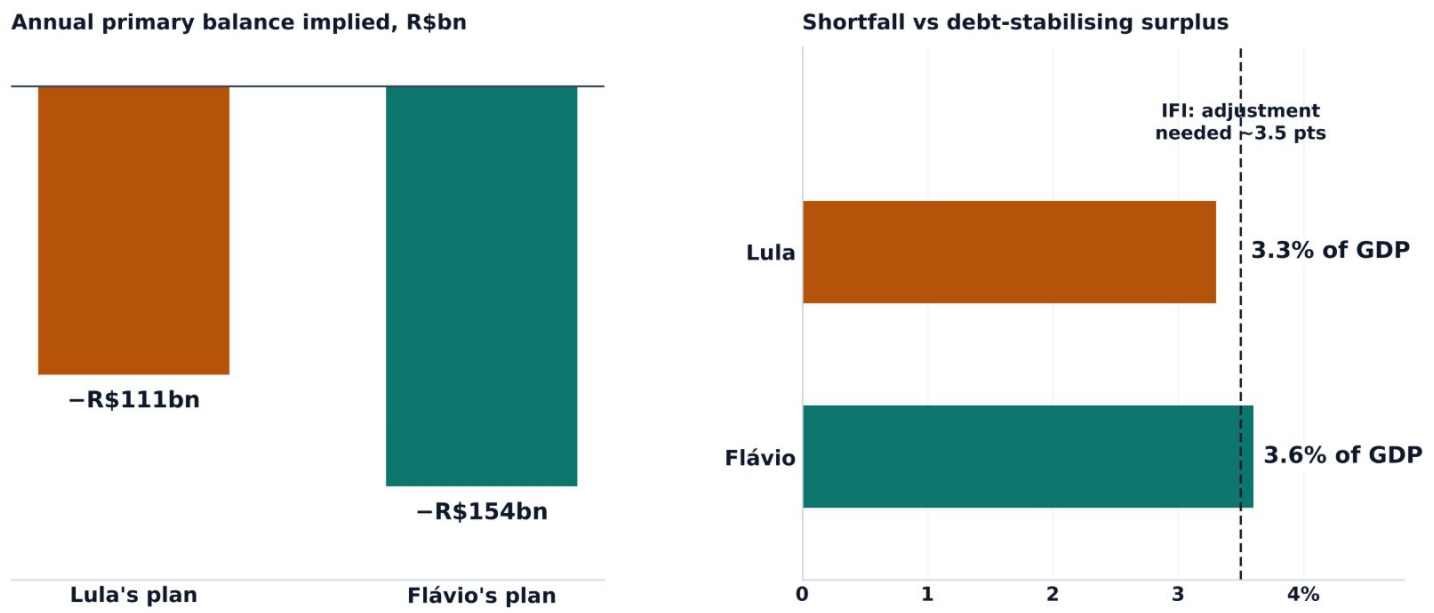
SO WHAT

5 of 6 areas: far apart

Closest: deforestation, oil and gas

Risk: court clash vs gridlock

Neither plan stabilises the debt



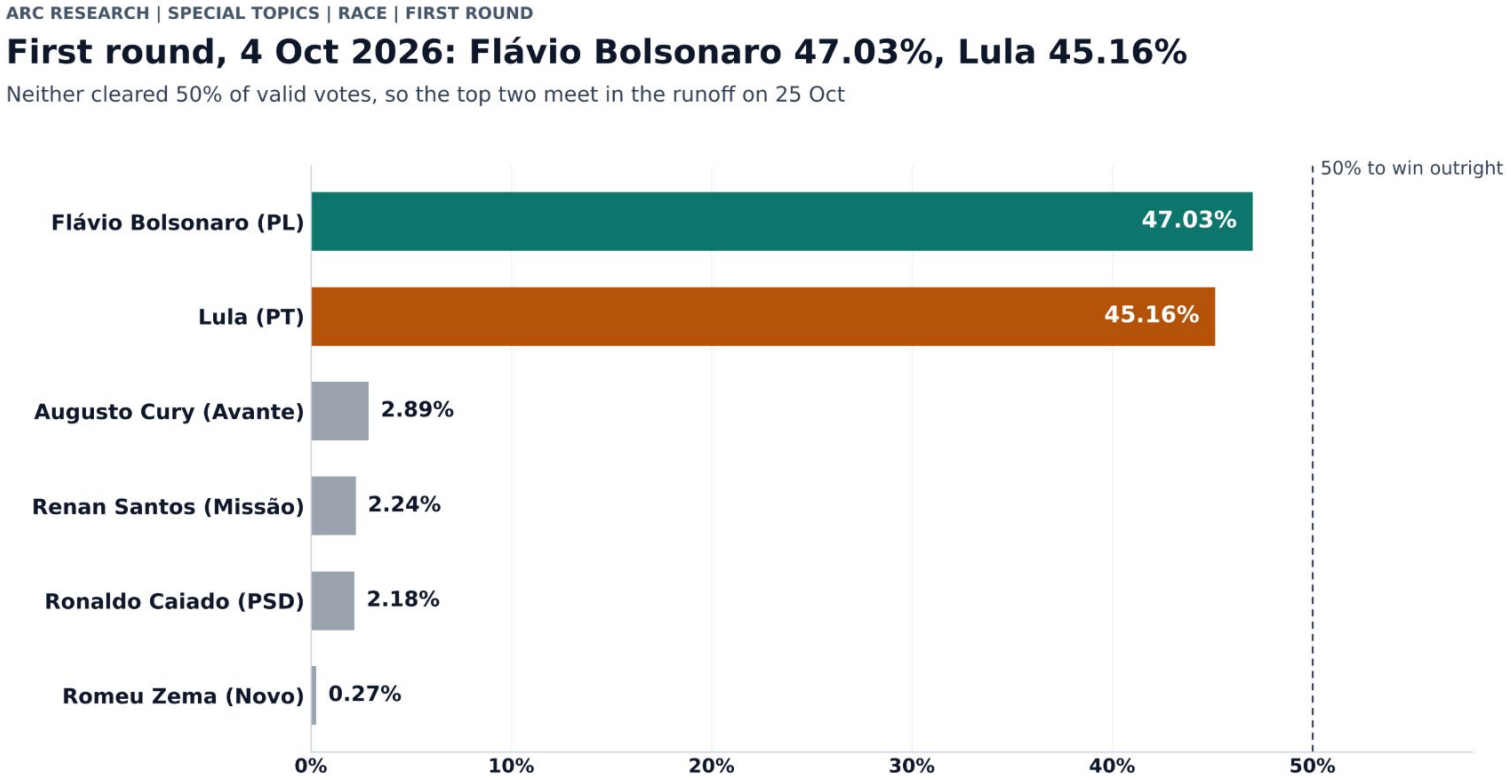
SO WHAT

Both ~3.5% of GDP short

Flávio's tax cuts cost too

Winner faces hard choices

Flávio first, Lula 1.9 points behind



Source: TSE totals at 100% of sections, as reported by Diário do Grande ABC (5 Oct 2026, rev. 8 Oct). Share of valid votes (119.3m), excluding blank (2.3m) and null (3.7m). Seven minor candidates (combined under 0.5%) not shown. Turnout 78.9%; abstention 21.08% of 158.7m registered.

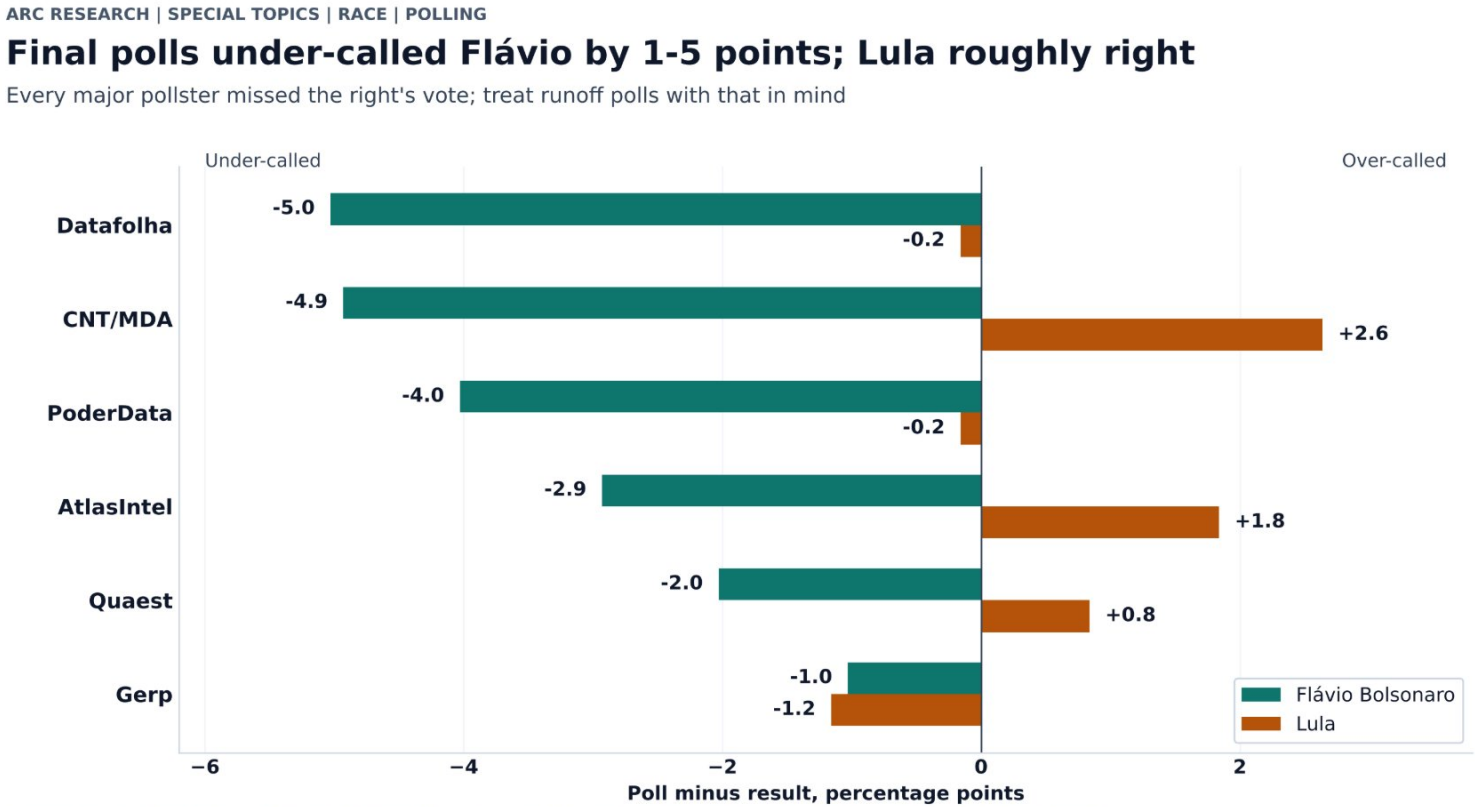
SO WHAT

Margin 2.2m votes

Third parties only ~7.6%

Runoff Sunday 25 Oct

Every pollster under-called Flávio



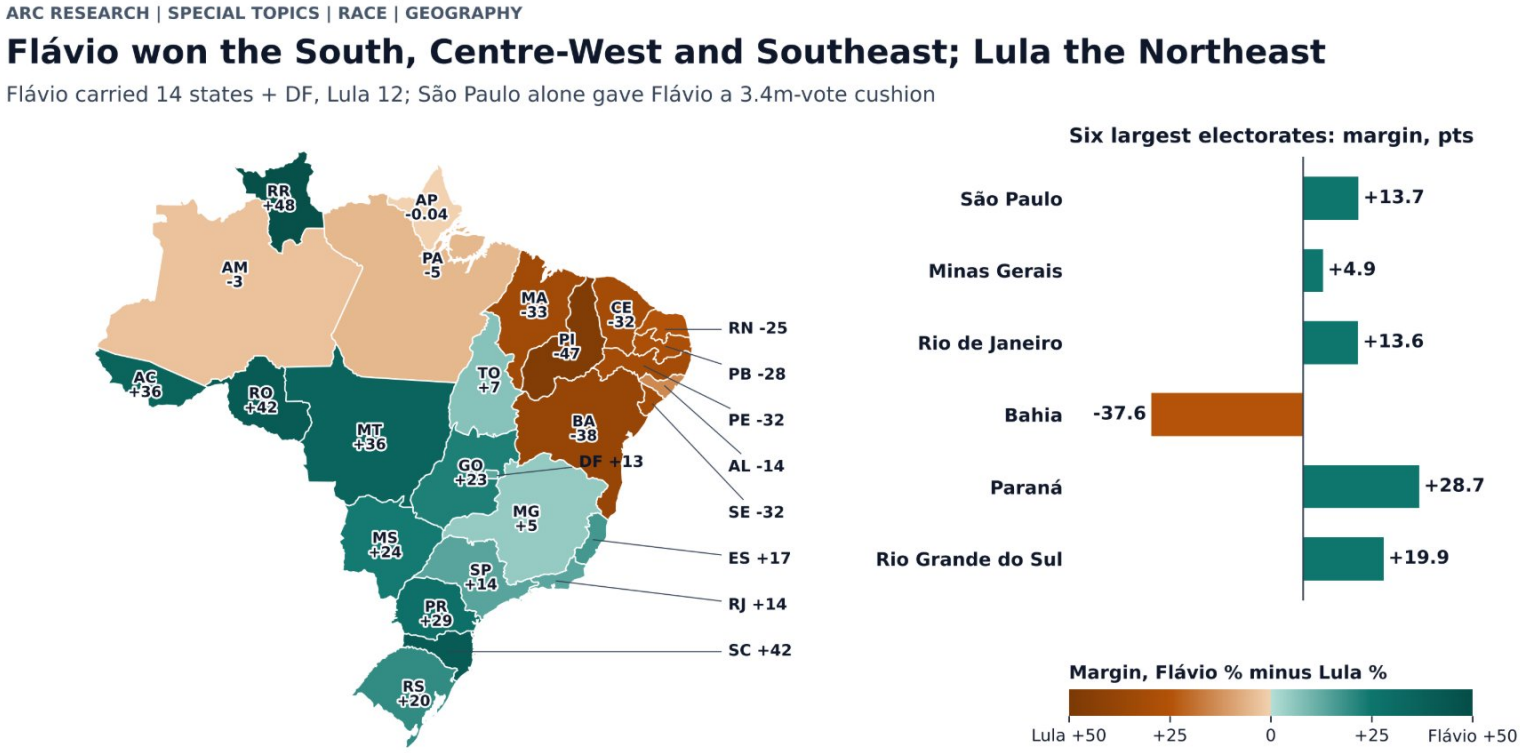
SO WHAT

Flávio missed by 1–5 pts

Lula's share mostly right

Discount runoff ties

A country split north-east vs south



Source: first-round shares of valid votes by state, as reported by Quenty (6 Oct 2026, citing TSE) and Hora Brasil (5 Oct 2026), identical for all 27 units; winners cross-checked with Congresso em Foco and Correio 24 Horas. Margin = Flávio % minus Lula %, our calculation. Map geometry: Highcharts map collection (Natural Earth), not to scale for DF.

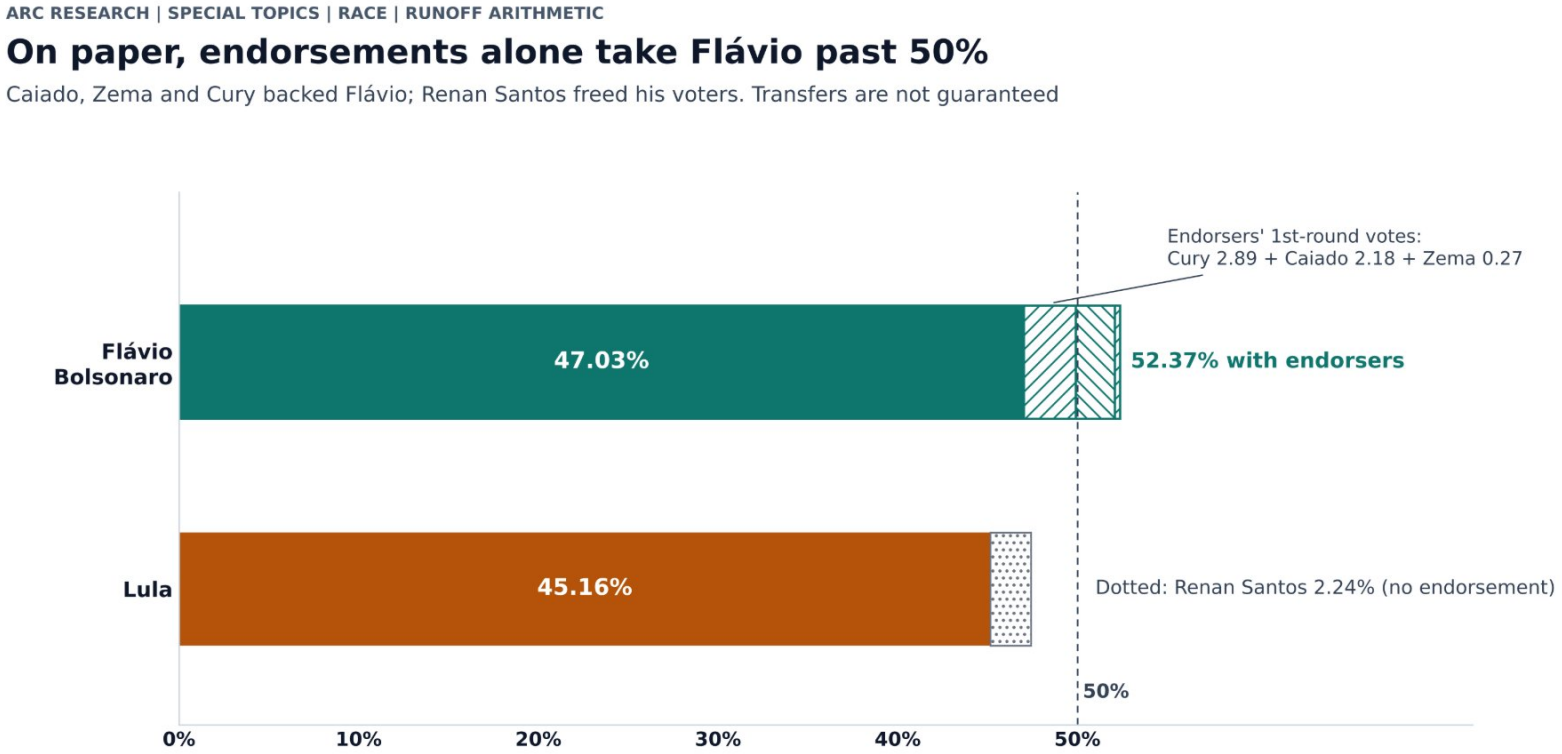
SO WHAT

Flávio: 14 states + DF

Lula: all 9 Northeast states

Runoff fought in MG, AM, PA

Endorsements take Flávio past 50% on paper



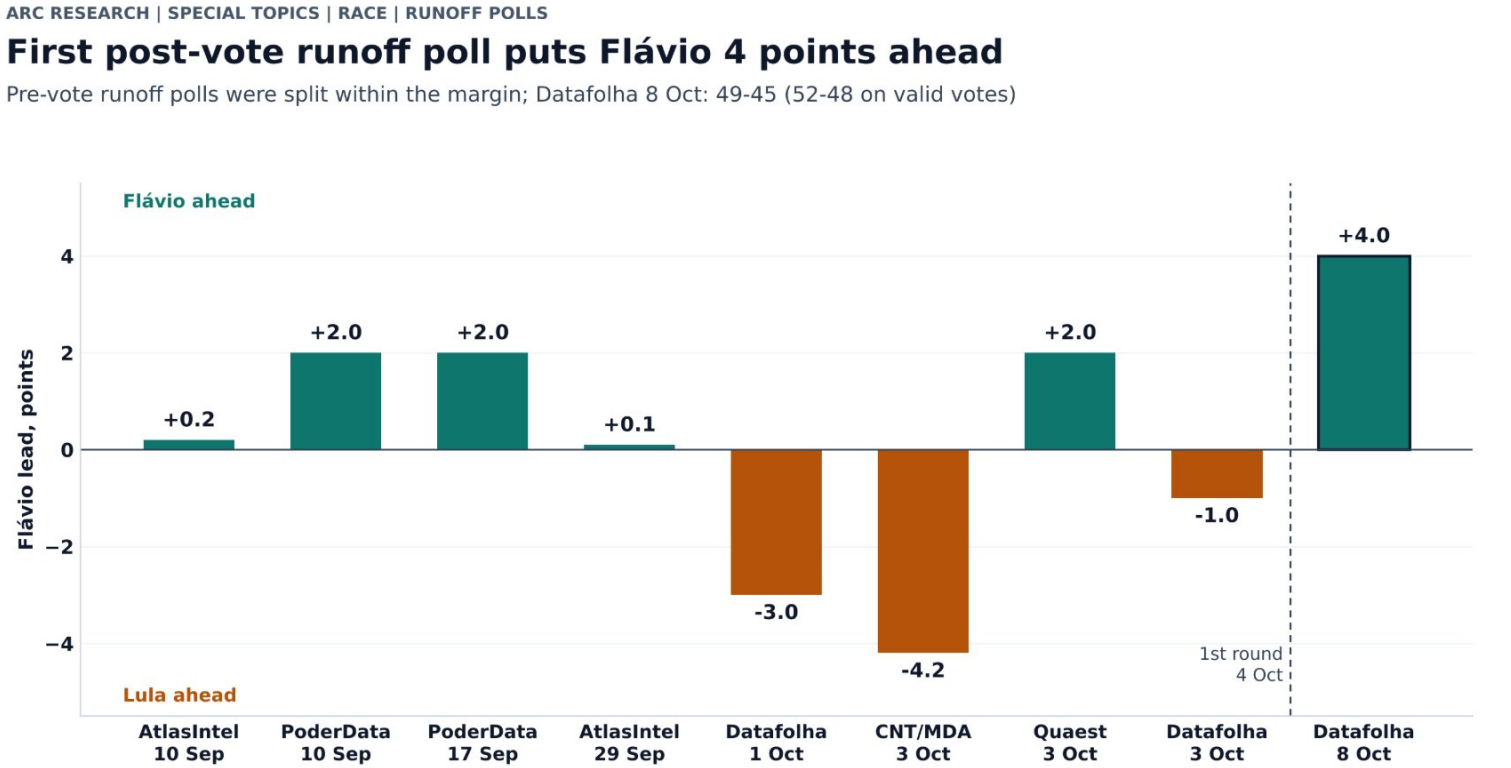
SO WHAT

Endorsers held 5.3 pts

Lula needs abstainers

Transfers never 1-for-1

First post-vote poll: Flávio by 4



Source: Datafolha 6-8 Oct (n=2,520, MoE ±2) via Brasil de Fato; Datafolha 3 Oct via Estado de Minas; Quaest 3 Oct and Datafolha 1 Oct via GC Mais / Revista Fórum / Estado de Minas; CNT/MDA via GC Mais; AtlasIntel/Bloomberg via Diário de Pernambuco / GC Mais; PoderData via CNN Brasil / Tribuna de Jundiaí. Lead = Flávio % minus Lula % of total votes, our calculation.

SO WHAT

Datafolha: 49–45

Pre-vote: a coin toss

Markets: ~84% Flávio

SECTION 3 OF 6

The Bolsonaro precedent

What Jair Bolsonaro's 2019–22 term tells us about Flávio

23 · The record: policies 2019–22
24 · Stocks and the real
25 · Market episodes
26 · Growth, inflation, rates, jobs
27 · Deficits and debt
28 · Then vs now

Liberal reforms, then Covid and pre-election spending



Jair Bolsonaro

President 2019–22 · PL

Economy minister: Paulo Guedes

2019	Pension reform: ~R$800bn over 10 yrs
2019	Economic Freedom Law; BR Distribuidora sold
2020	Covid aid R$600/month; "war budget"
2021	Central bank autonomy law
2021	Petrobras CEO fired; spending cap loosened
2022	Eletrobras privatised (R$33.7bn)
2022	Fuel-tax cap; pre-election benefits

Teal = market-friendly reform · amber = intervention or fiscal loosening

Stocks +25% over his term; the real −26%



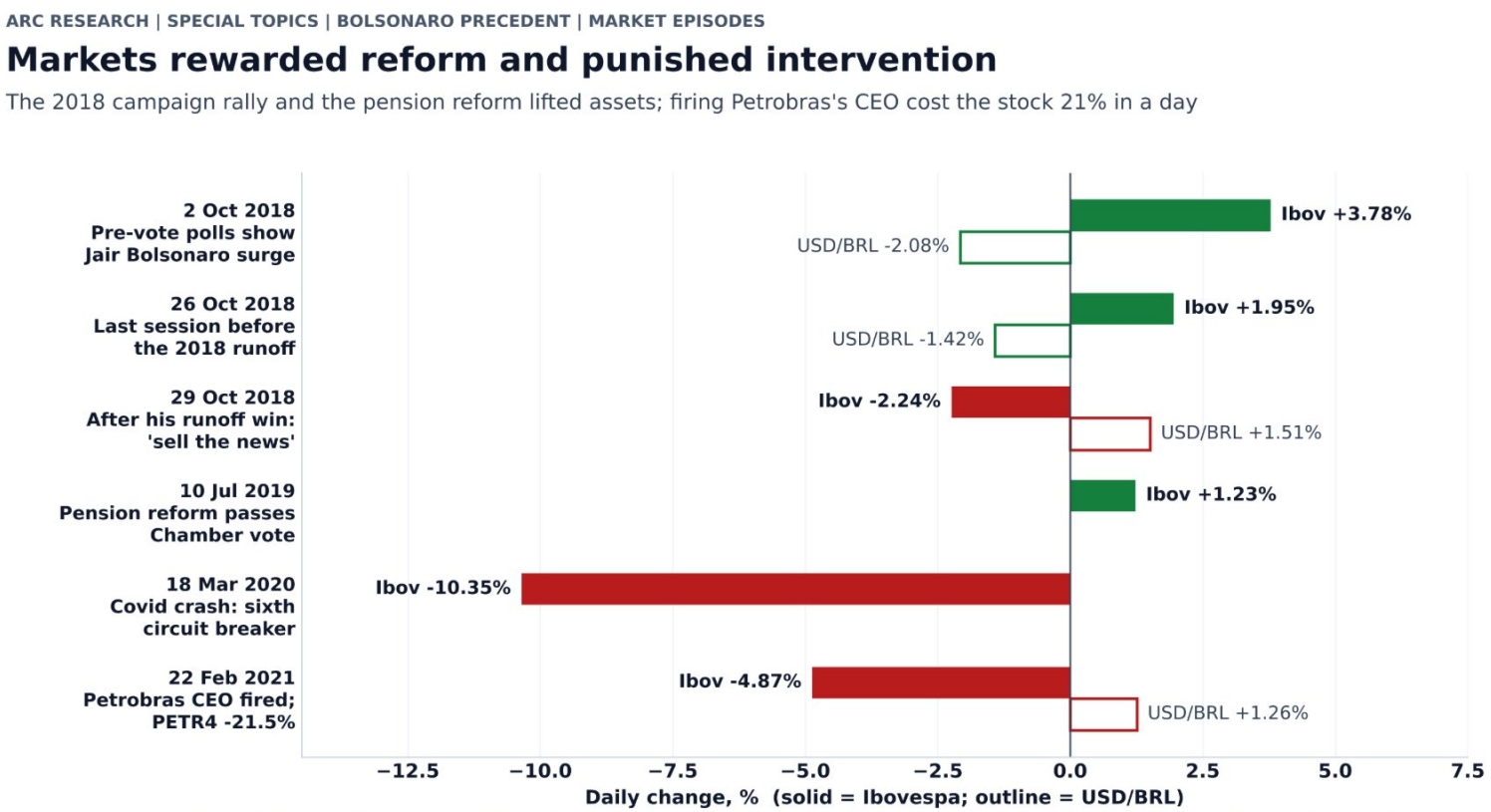
SO WHAT

2019: +31.5% reform rally

2021: −11.9%, fiscal scares

Now: Ibov 206k, BRL 4.99

Markets rewarded reform, punished meddling



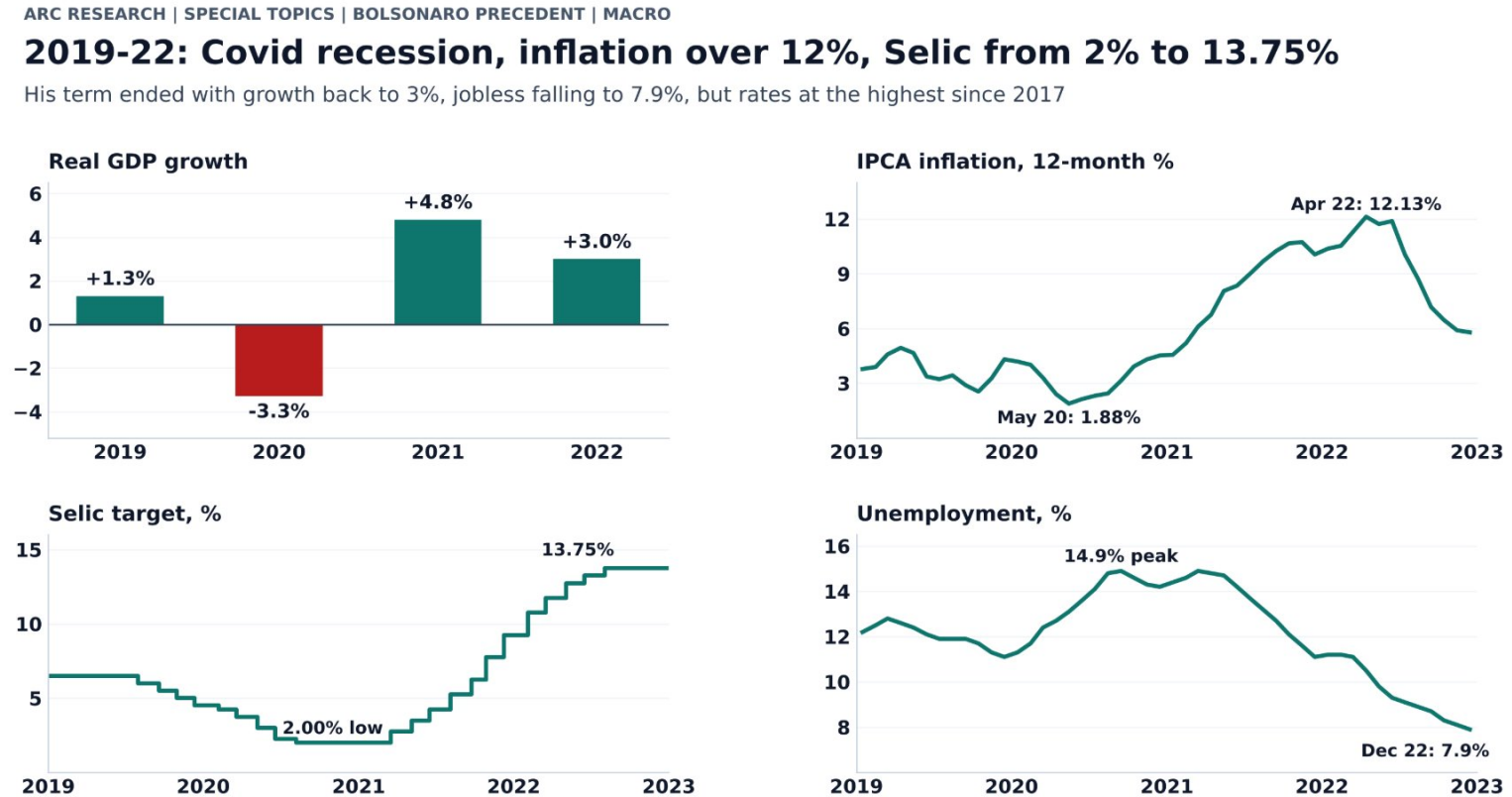
SO WHAT

2018: rally, then sold news

Petrobras risk is real

2026 echoes 2018 so far

Covid shock, inflation spike, Selic 2% to 13.75%



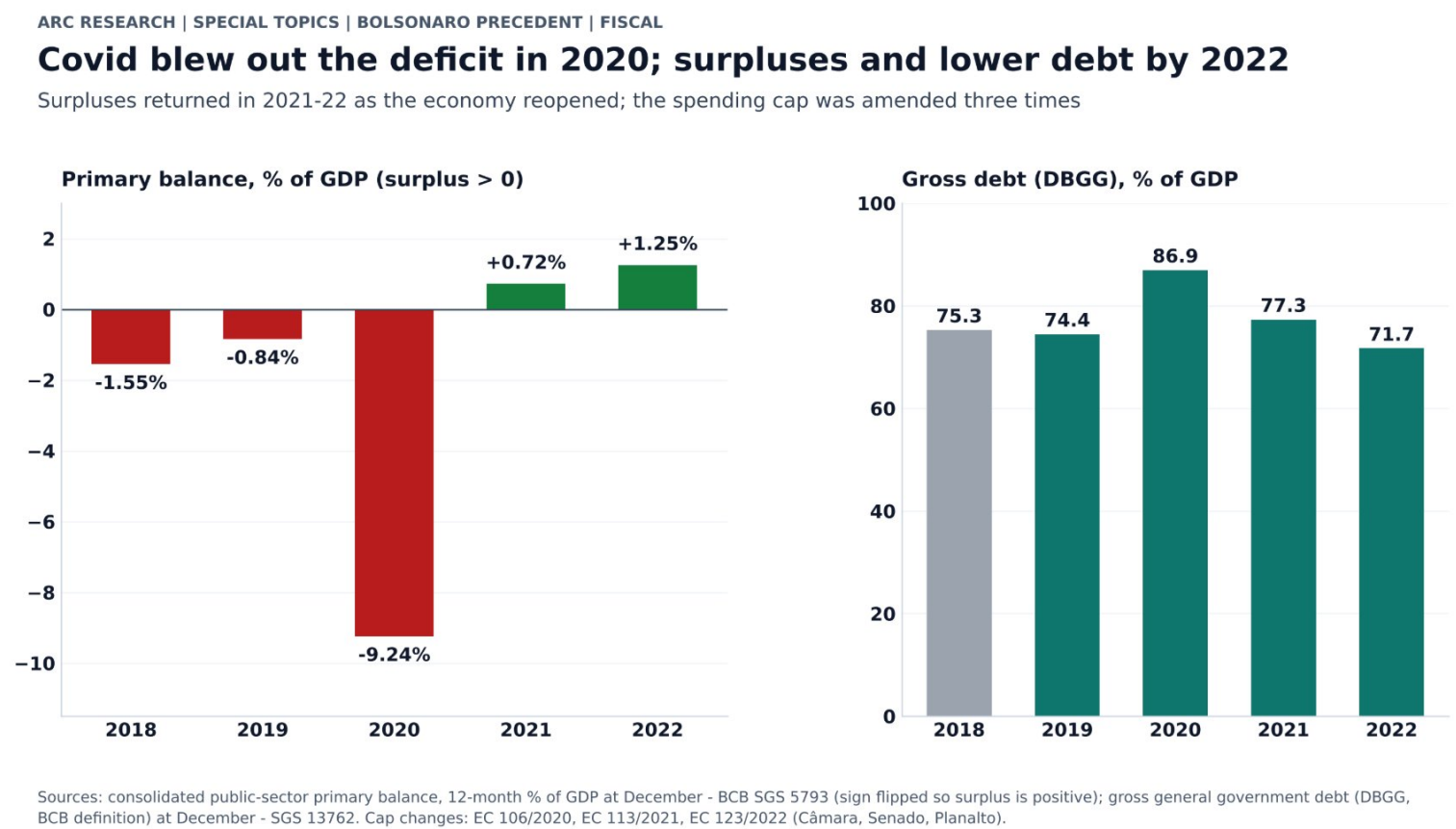
SO WHAT

Inflation hit 12.1% in 2022

Selic: record low to 13.75%

Jobless 14.9% → 7.9%

A Covid deficit, then surpluses and lower debt



SO WHAT

2020 deficit −9.2% of GDP

Debt 71.7% at end-2022

Today 82.9% and rising

BOLSONARO PRECEDENT · THEN VS NOW

Flávio would inherit higher rates and more debt

Indicator	Jair took office	Today	Change
Selic	6.50%	13.75%	+7.25 pts
IPCA inflation, 12m	3.75%	4.22%	+0.47 pts
Unemployment	11.7%	5.3%	−6.4 pts
Primary balance, % GDP	−1.55%	−0.62%	+0.93 pts
Gross debt, % GDP	75.3%	82.9%	+7.6 pts
USD/BRL	3.87	4.99	real −22%
Ibovespa	87,887	206,220	+135%

"Jair took office" = end-2018 / Jan 2019 · "Today" = latest, Aug–Oct 2026

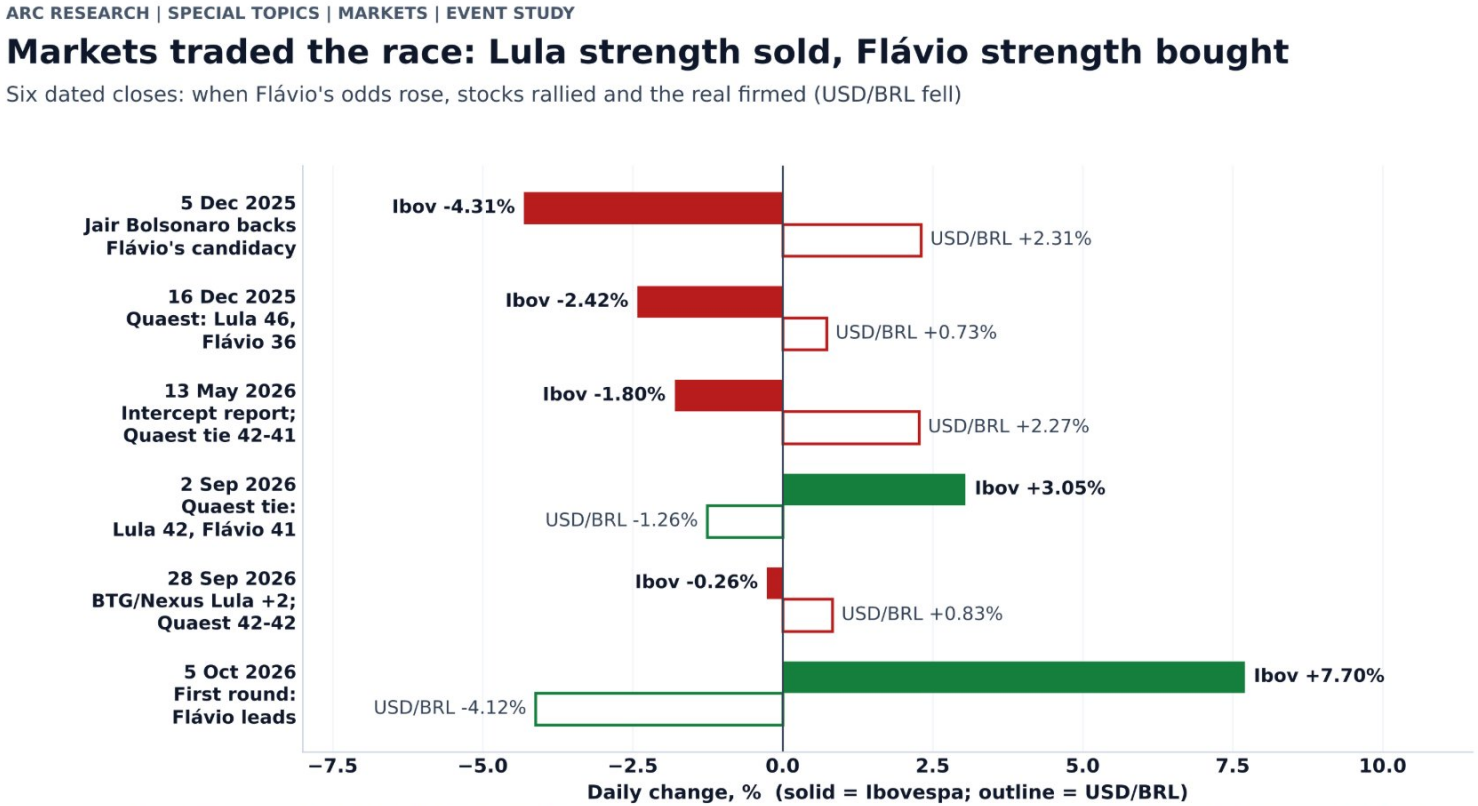
SECTION 4 OF 6

Market reaction

Assets priced the race all year, then ran on 5 Oct

30 · Event study: polls move prices
31 · Betting odds over time
32 · 5 Oct by sector, and why
33 · The DI curve
34 · Ibovespa and the real
35 · 2026 vs 2022
36 · Street scenarios
37 · Flávio vs Lula baskets

Lula strength sold, Flávio strength bought



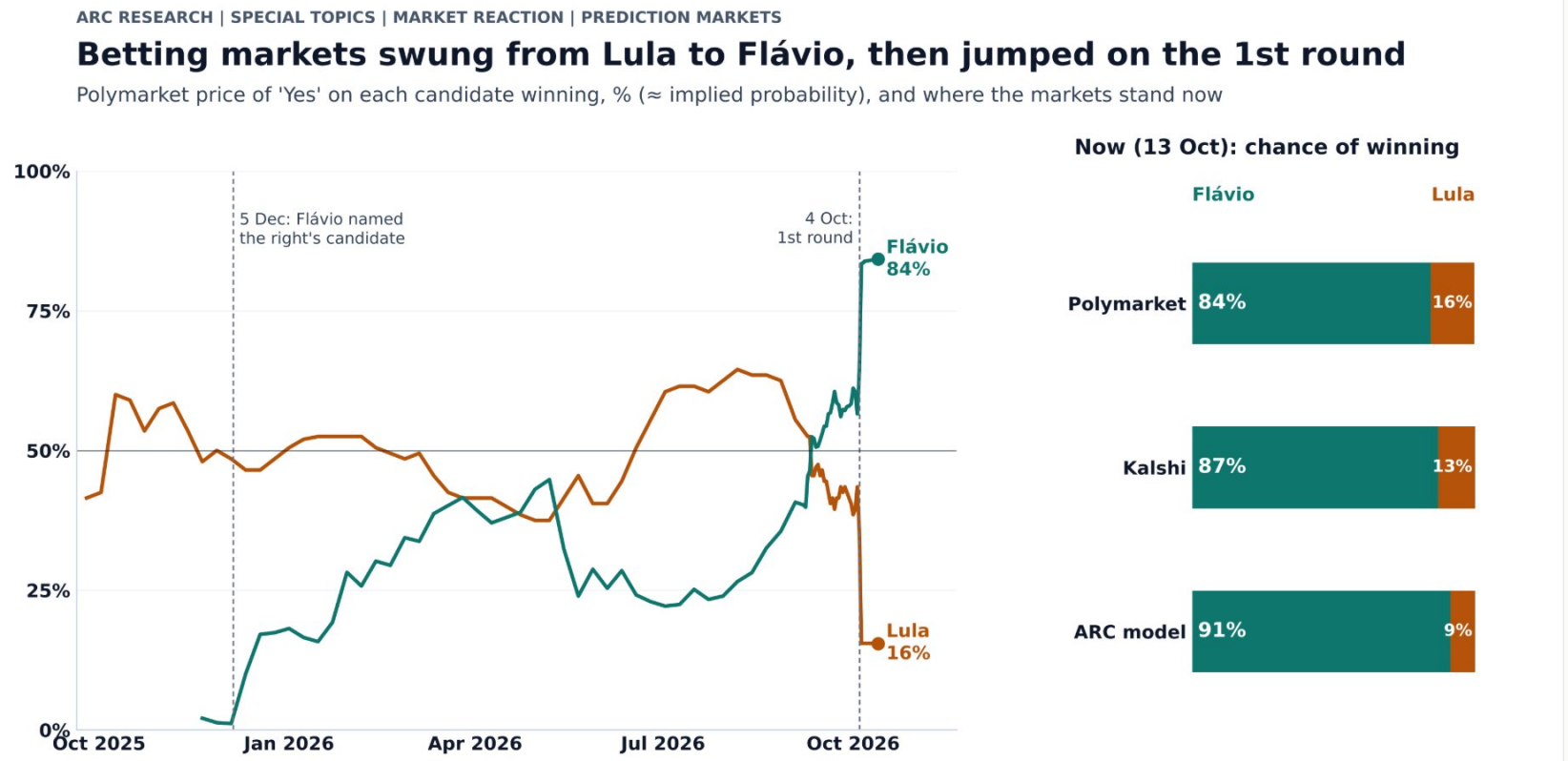
SO WHAT

Polls are a macro factor

Stocks and BRL move together

Expect volatility to 25 Oct

Betting odds flipped to Flávio, then jumped



SO WHAT

Lula led until August

Round 1: 64% →
84% overnight

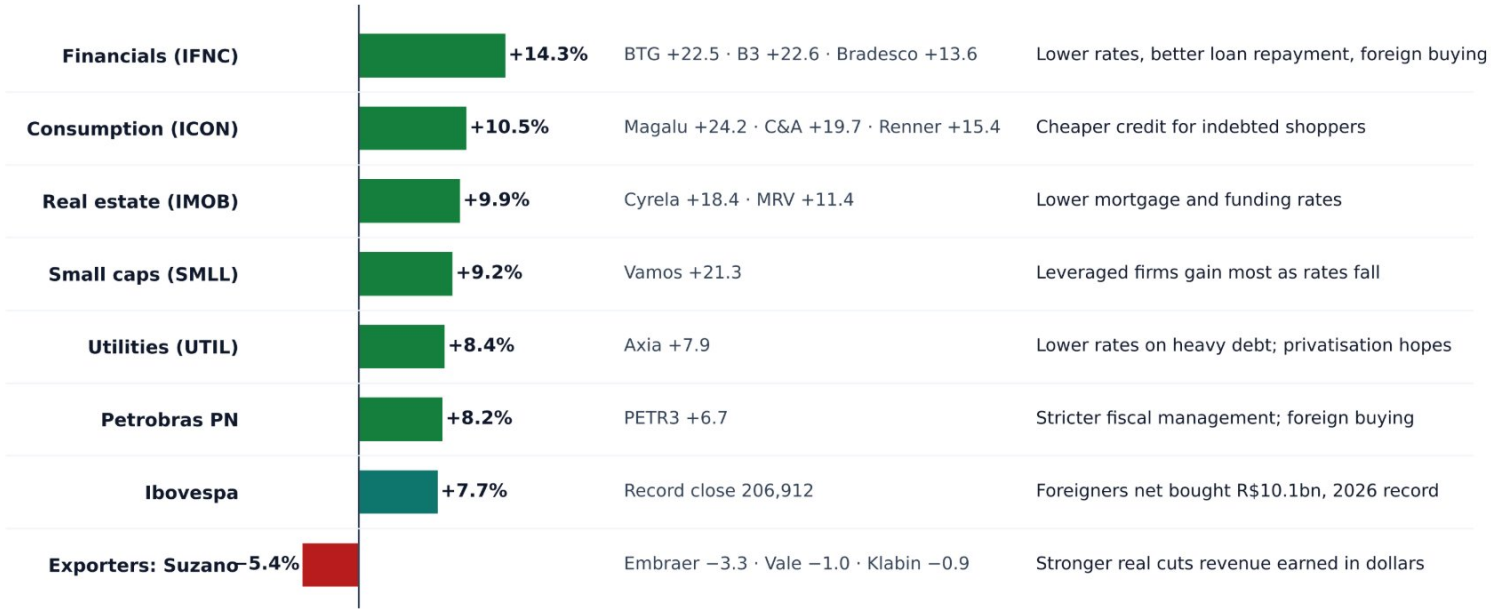
Now: 84–87% Flávio

Rate-sensitive sectors led; exporters fell

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5 Oct: rate-sensitive sectors led the rally; exporters fell

Markets priced a Flávio win as lower rates and tighter budgets; the real's 4% jump hurt dollar earners



	Leaders (close, %)	Why (analysts' reasons)
Financials (IFNC)	BTG +22.5 · B3 +22.6 · Bradesco +13.6	Lower rates, better loan repayment, foreign buying
Consumption (ICON)	Magalu +24.2 · C&A +19.7 · Renner +15.4	Cheaper credit for indebted shoppers
Real estate (IMOB)	Cyrela +18.4 · MRV +11.4	Lower mortgage and funding rates
Small caps (SMLL)	Vamos +21.3	Leveraged firms gain most as rates fall
Utilities (UTIL)	Axia +7.9	Lower rates on heavy debt; privatisation hopes
Petrobras PN	PETR3 +6.7	Stricter fiscal management; foreign buying
Ibovespa	Record close 206,912	Foreigners net bought R$10.1bn, 2026 record
Exporters: Suzano	Embraer −3.3 · Vale −1.0 · Klabin −0.9	Stronger real cuts revenue earned in dollars

Sources (closes, 5 Oct 2026): Money Times (IFNC, Petrobras, Magalu, BTG, Suzano, Vale); O Povo / Brasil em Folhas (ICON, IMOB, UTIL; secondary); InfoMoney (SMLL, B3, Axia, Renner, Vamos, Embraer, Klabin); CNN Brasil, Forbes (Bradesco, C&A, Cyrela, MRV). Reasons paraphrase analysts quoted in these outlets. Foreign flow: B3 data via Exame.

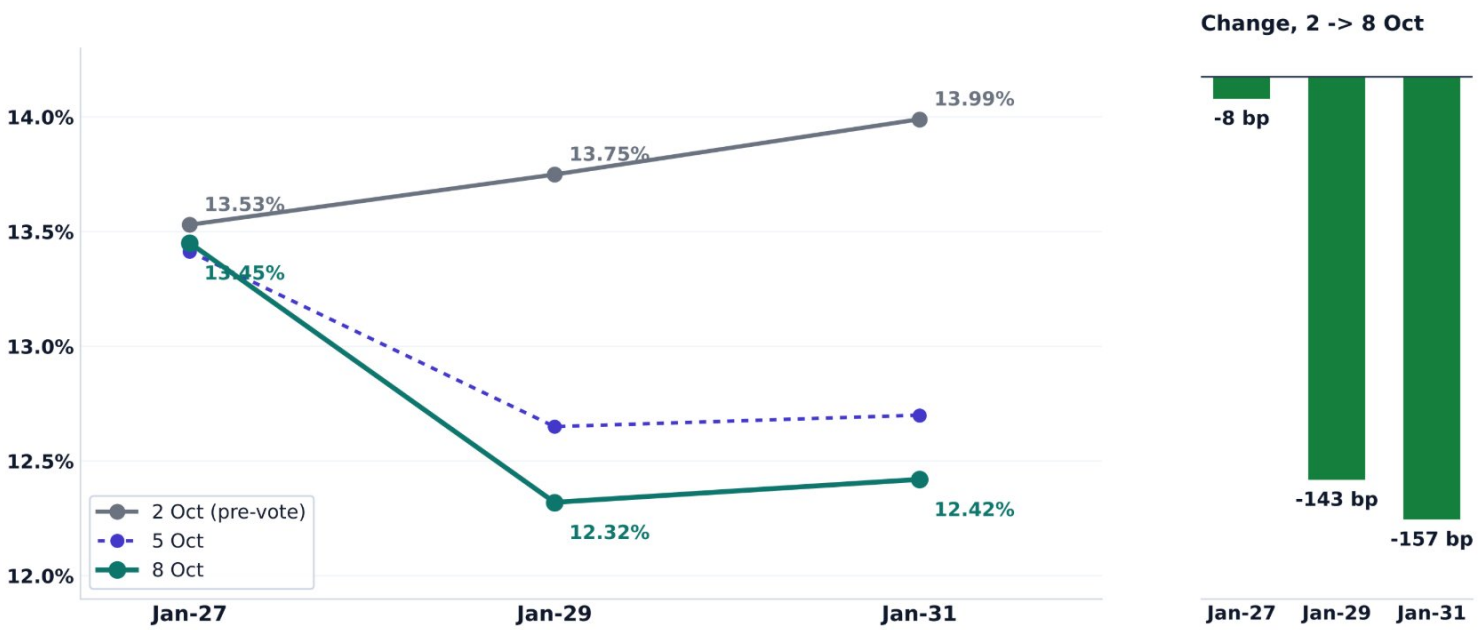
SO WHAT

Lower rates = biggest winners

Foreigners bought R$10.1bn

Strong real hit exporters

Long rates fell ~150 bp in four sessions



Source: DI futures closing yields - 2 Oct and 5 Oct from Canal Rural (5 Oct 2026); 8 Oct from Money Times (8 Oct 2026). Change 2 Oct -> 8 Oct, our calculation.
Outlets mix last-trade and settlement rates (e.g. Jan-29 on 5 Oct: 12.650% close vs 12.591% 'prior' next day), so treat single-bp differences as noise.

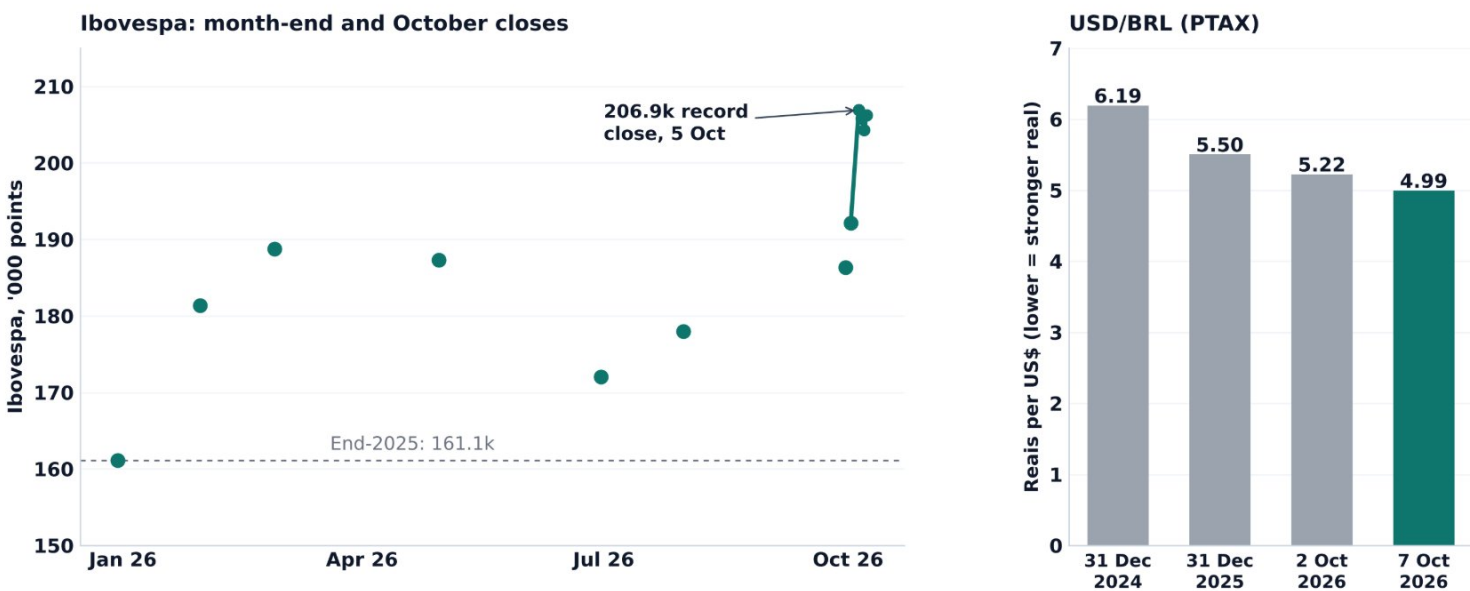
SO WHAT

Fiscal premium priced out

Front end anchored by Copom

Most at risk if Lula wins

Ibovespa +28% this year; real at a 17-month high



Sources: Ibovespa closes - Bloomberg Línea (30 Dec 2025), Nord (Jan), Finance News (Feb), Times Brasil (Apr), Sou Brasília (Jun), O Povo (Jul), A Crítica (Sep), Rio Times (2 Oct), Money Times (5, 7 Oct), B3 Bora Investir (6 Oct), Rio Times ticker (8 Oct). Mar, May, Aug month-ends not verified, so left as gaps (dots, not a line). YTD = 206,220 / 161,125 - 1, ours. USD/BRL: BCB SGS series 1 (PTAX sale), 31 Dec 2024, 31 Dec 2025, 28 Sep-7 Oct 2026. '17-month high' per Trading Economics.

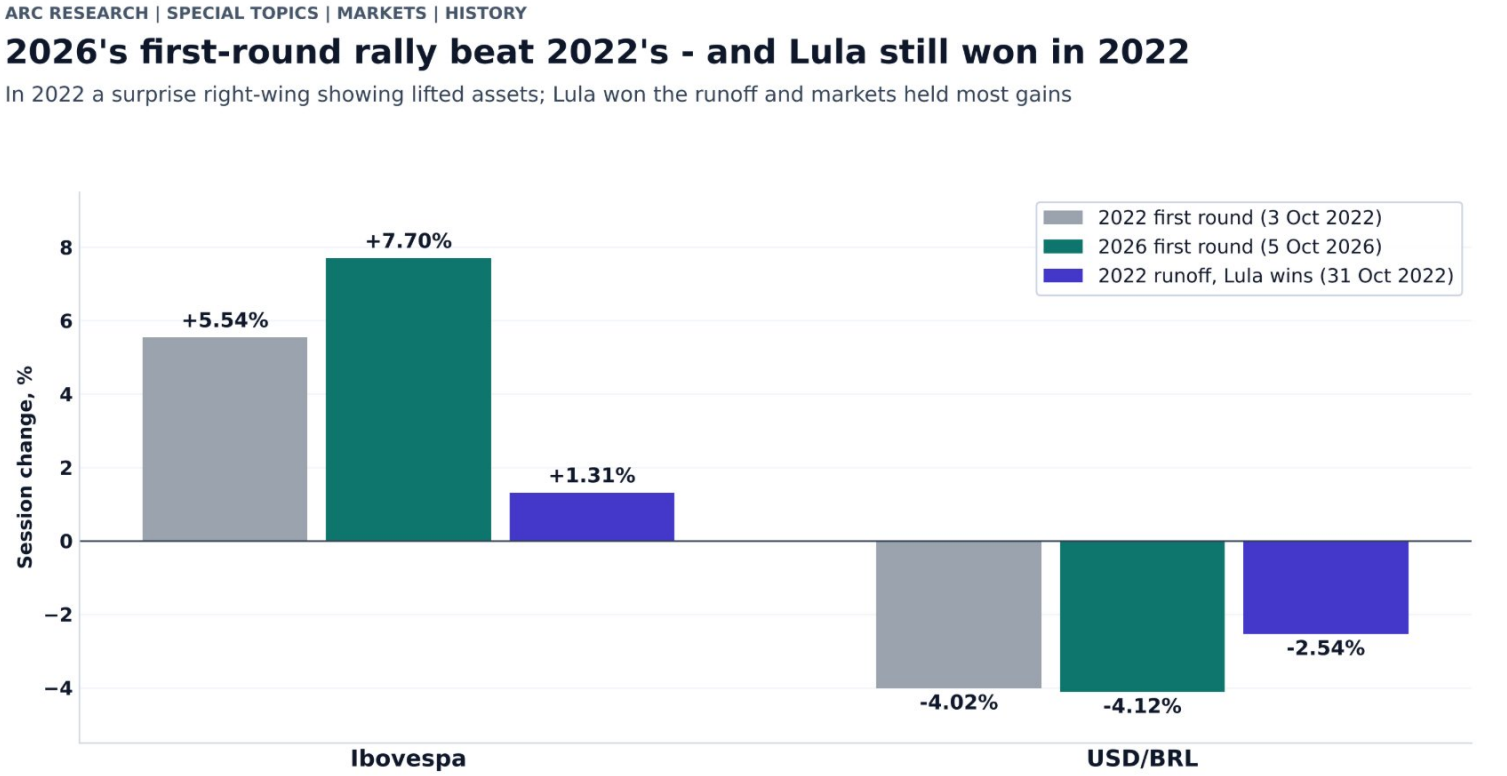
SO WHAT

Most of 2026 gain pre-vote

Real below 5.00 per dollar

Priced for a Flávio win

Bigger rally than 2022, when Lula still won



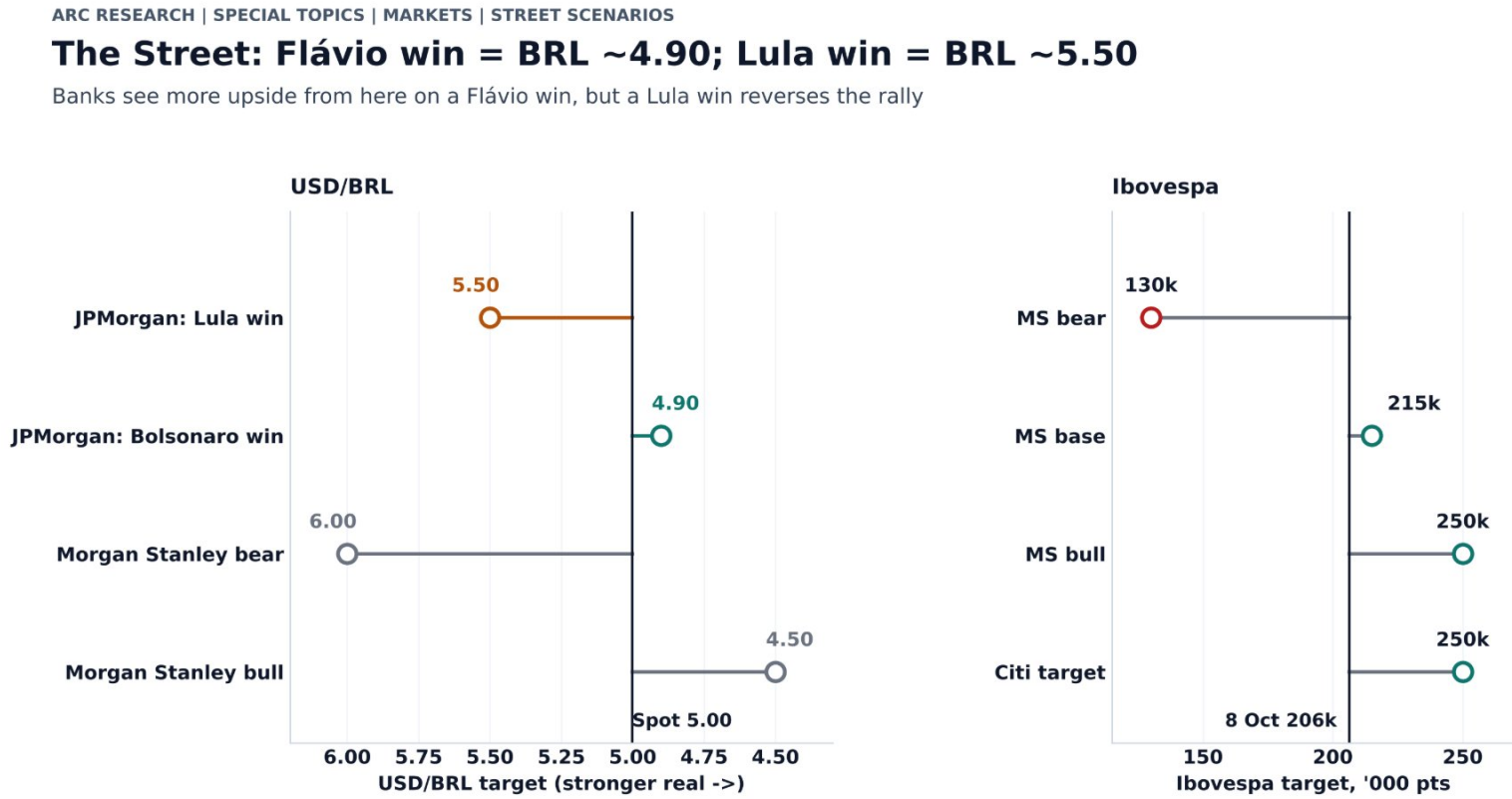
SO WHAT

2022: right beat polls too

Lula still won the runoff

This time Flávio leads

The Street: BRL 4.90 if Flávio, 5.50 if Lula



SO WHAT

Banks upgraded Brazil

Flávio upside now smaller

Lula downside is larger

Who wins under each president

Flávio-win basket

State-owned and rate-sensitive

Petrobras (PETR4)

Banco do Brasil (BBAS3)

Axia, ex-Eletrobras (AXIA3)

BTG Pactual · XP · B3

Cyrela (homebuilder)

Nomos · BTG survey · Morgan Stanley · Citi

Lula-win basket

Exporters and defensives

Suzano (SUZB3)

WEG (WEGE3)

BB Seguridade · Caixa Seguridade

TIM Brasil (TIMS3)

Itaú

Nomos · BTG survey

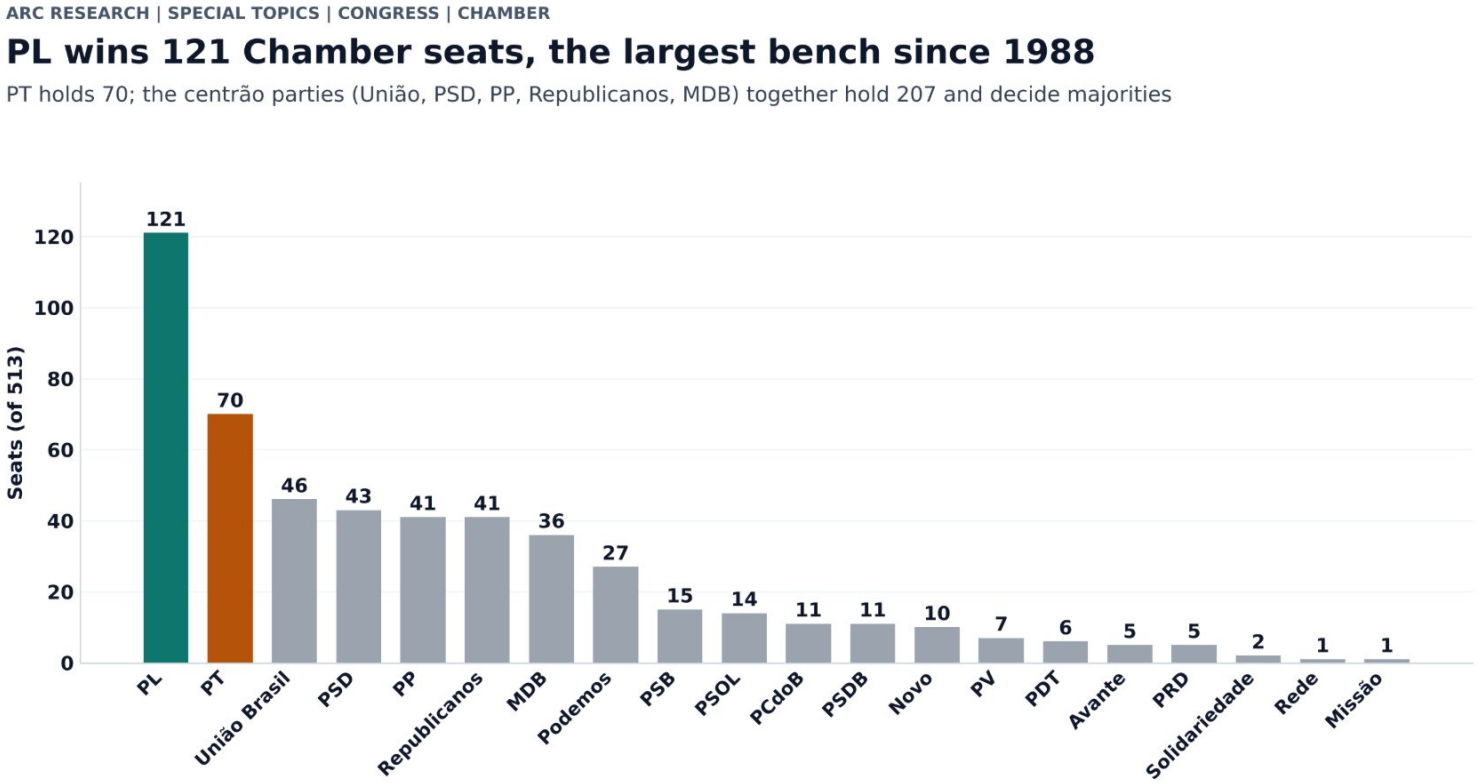
SECTION 5 OF 6

Congress

The right won both houses on 4 October

39 · Chamber: PL's record bench
40 · Senate from 2027
41 · Blocs vs thresholds
42 · Coalition paths
43 · What each could pass

PL's 121 seats: largest bench since 1988



Source: seat counts per Gazeta de SP (5 Oct 2026), matched by Times Brasil (6 Oct); press tallies, not final TSE diplomas. 'Largest since 1988' per Correio da Manhã (5 Oct). Federations: PT-PCdoB-PV 88; União-PP 87; PSOL-Rede 15. Centrão total = 46+43+41+41+36, our sum. 2022 baselines differ across outlets (PL 97-99), so not plotted.

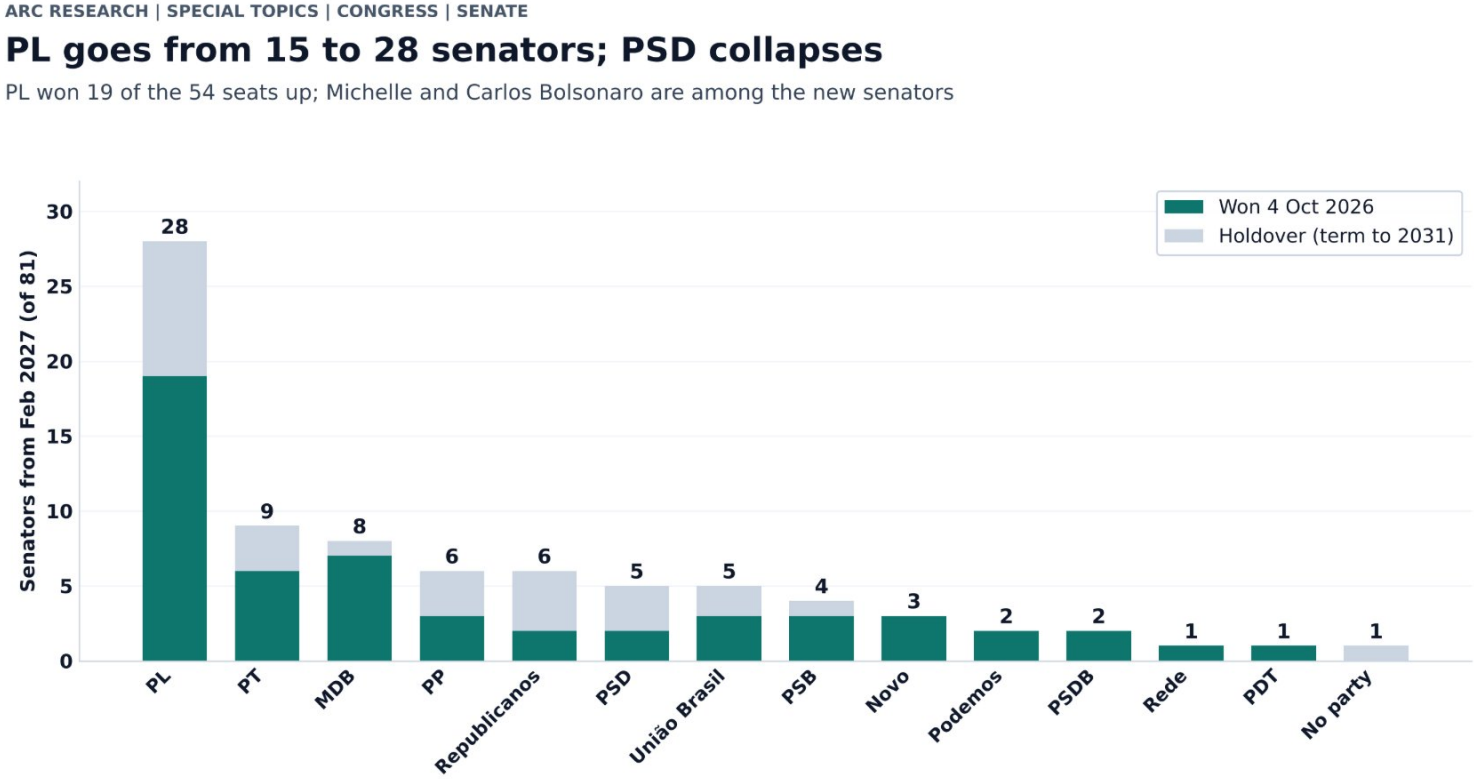
SO WHAT

PL +22–24 seats vs 2022

PT federation: 88

Centrão: 207 swing seats

PL nearly doubles to 28 senators



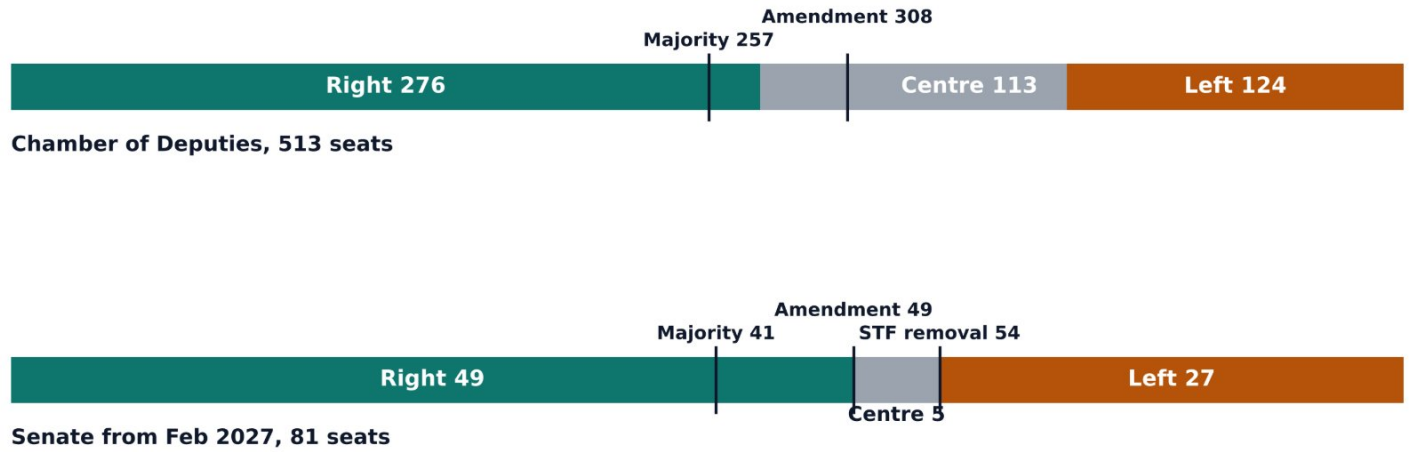
SO WHAT

PL won 19 of 54 seats

PT stays at 9

Senate leadership up for grabs

Right majority in both houses, not a supermajority



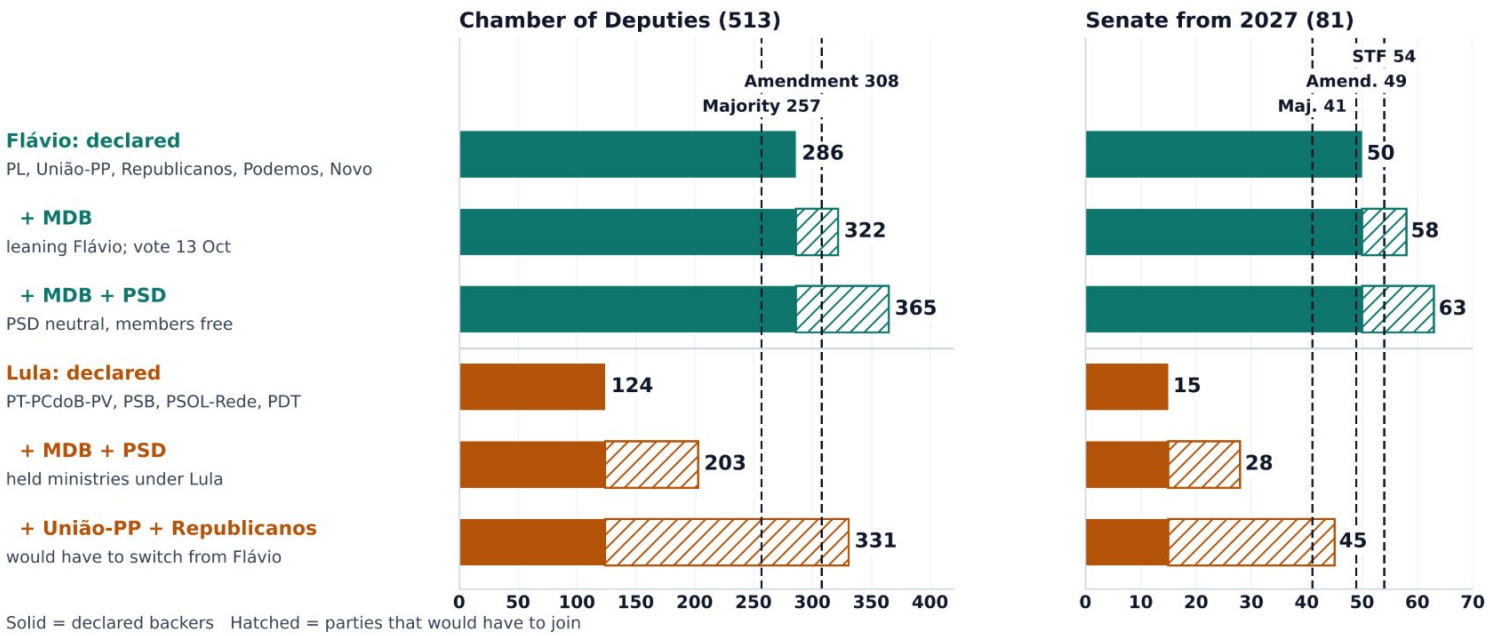
SO WHAT

Chamber right 32 short of 308

Senate right exactly 49

5 short of STF removal

Who each would have to govern with



SO WHAT

Flávio: centrão already aboard

MDB is the swing to 308

Lula must win back defectors

CONGRESS · WHAT EACH COULD PASS

Flávio's agenda is passable; Lula's is blocked

President	Agenda item	Votes needed	Seat math	Odds (view)
Flávio	Spending cuts by law	257 / 41	Right alone: 276 / 49	High
Flávio	Stricter fiscal rule (law)	257 / 41	Right alone clears	High
Flávio	Tax changes needing a PEC	308 / 49	+32 centrists; Senate at 49	Medium
Flávio	Remove an STF justice	Senate 54	Right 49, needs 5 more	Low–medium
Lula	Keep current framework	No vote	Status quo	High
Lula	New taxes on high earners	Majority	Left + centre: 237 / 32	Low
Lula	Any constitutional change	308 / 49	Far short	Very low
Lula	Make his vetoes stick	Override 257 / 41	Right can override	At risk

Odds = ARC Research view on Poder360 bloc counts · a view, not advice

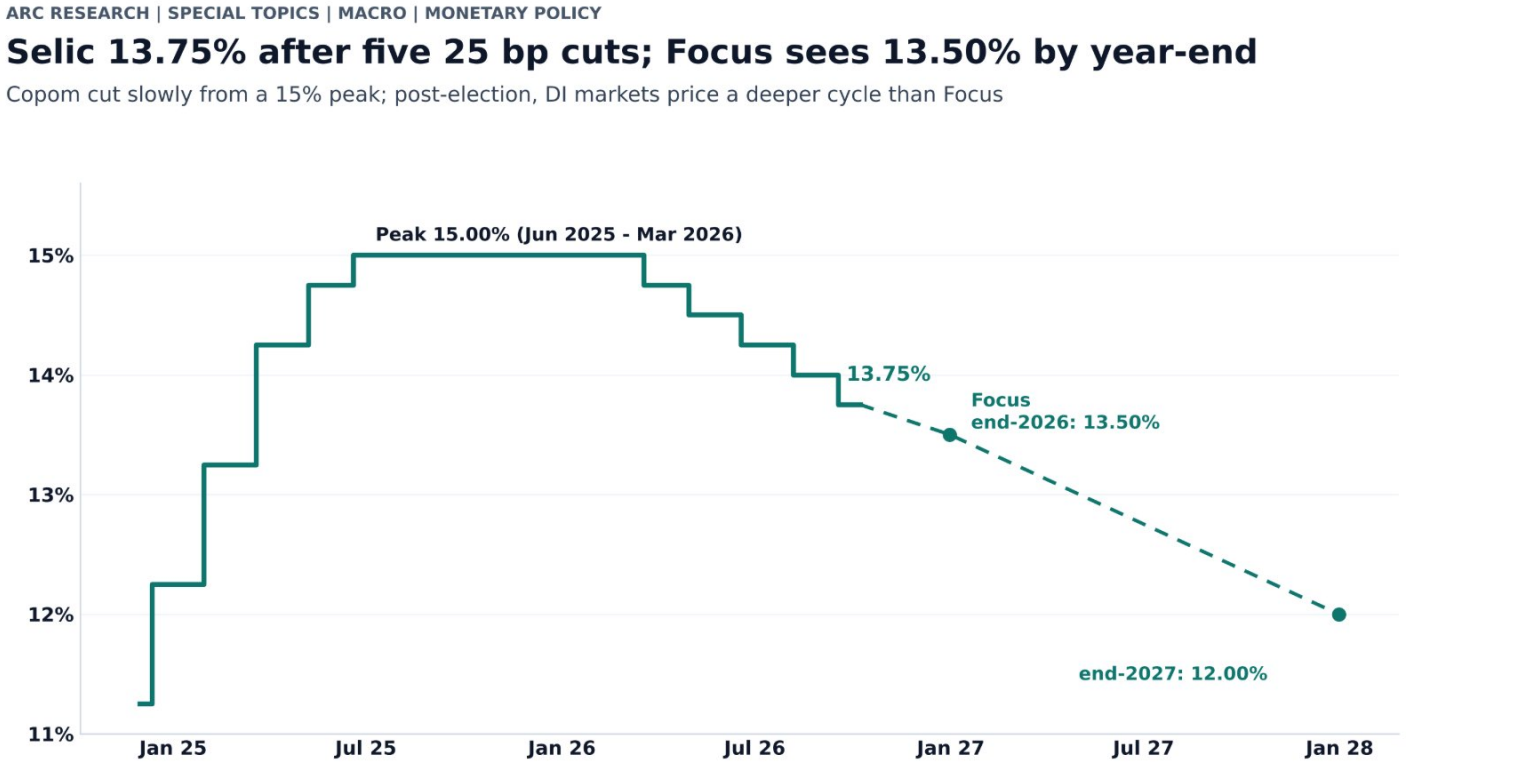
SECTION 6 OF 6

Macro now

What the next president inherits in January 2027

45 · Selic and the easing path
46 · Inflation vs target
47 · Growth and jobs
48 · What voters worry about
49 · The household squeeze
50 · From kitchen table to markets
51 · Deficit and debt
52 · External accounts, tariffs

Selic 13.75% after five 25 bp cuts



Sources: Selic target - BCB SGS 432 (effective dates); 16 Sep 2026 decision unanimous per Atlas Público citing the Copom statement. Focus medians - Boletim Focus 5 Oct 2026 via InfoMoney (projections, dashed). Next Copom: 3-4 Nov and 8-9 Dec 2026 (BCB calendar via okai.com.br). Polymarket priced a 25 bp November cut at 73% on 8 Oct (Rio Times).

SO WHAT

Peak 15% held nine months

Next Copom: 3–4 Nov

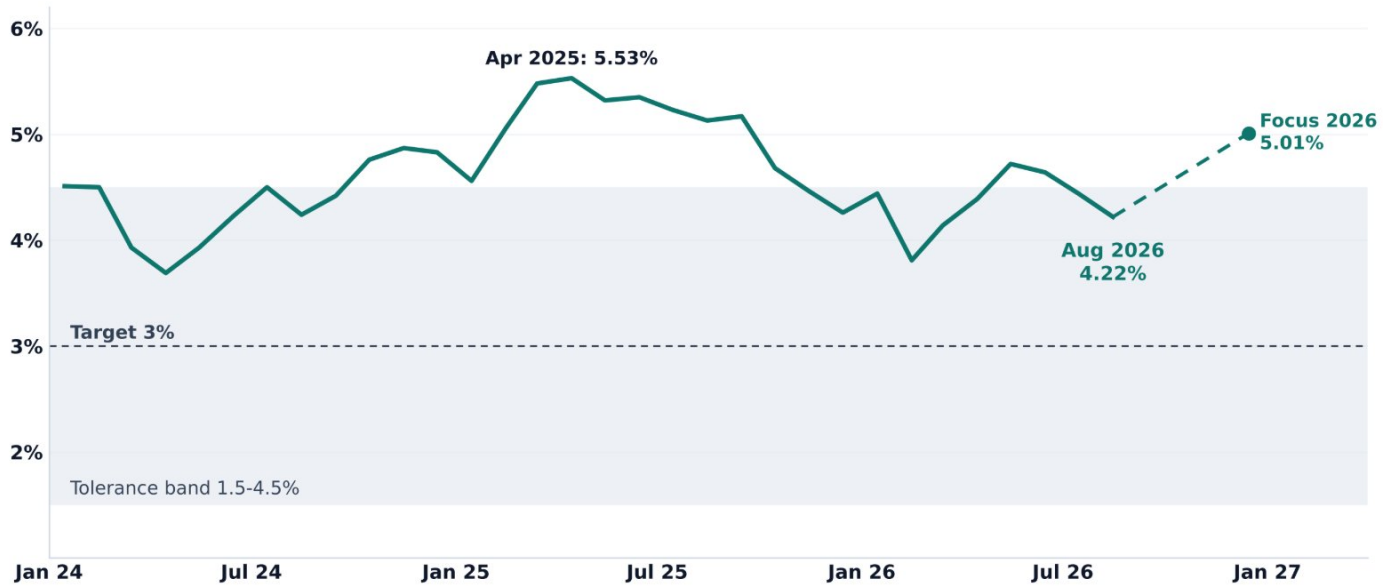
Runoff sets the pace

Inflation 4.22%: in the band, above target

ARC RESEARCH | SPECIAL TOPICS | MACRO | INFLATION

IPCA at 4.22%: back inside the band, still above the 3% target

August deflation (-0.32% m/m) helped; but Focus and Copom both see 2026 ending near 5%



Sources: IPCA 12-month - IBGE via BCB SGS 13522 (latest Aug 2026; Sep due after this note). Target 3% continuous, band 1.5-4.5% (CMN, June 2023, via O Povo). Aug m/m: SGS 433. Projections (dashed): Focus 5 Oct 2026 median 5.01% for 2026 (via InfoMoney); Copom reference scenario 5.2% (Sep 2026 statement via Atlas Público).

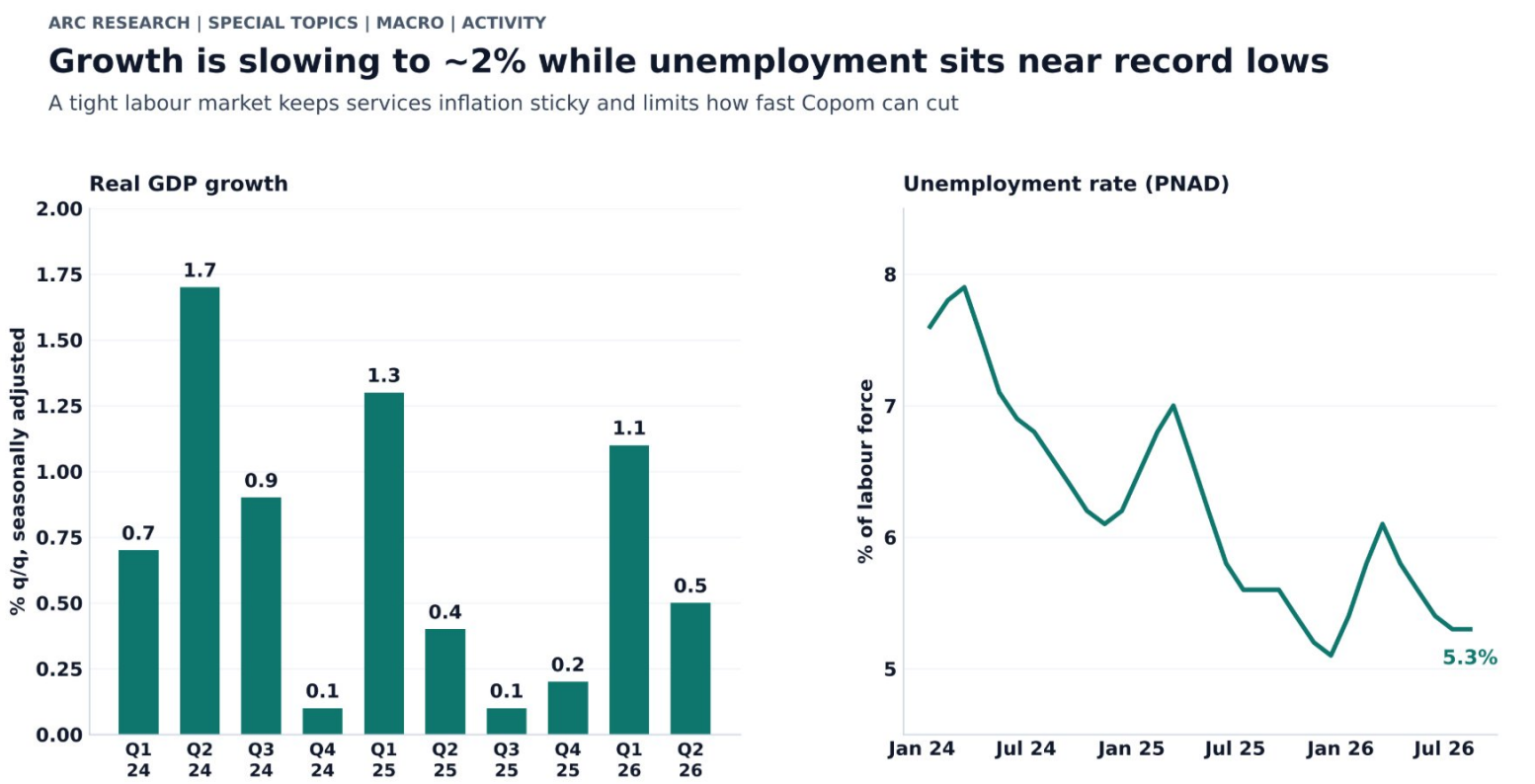
SO WHAT

August deflation: −0.32%

2026 seen near 5%

Weaker BRL = more inflation

Growth slowing to ~2%; jobless near lows



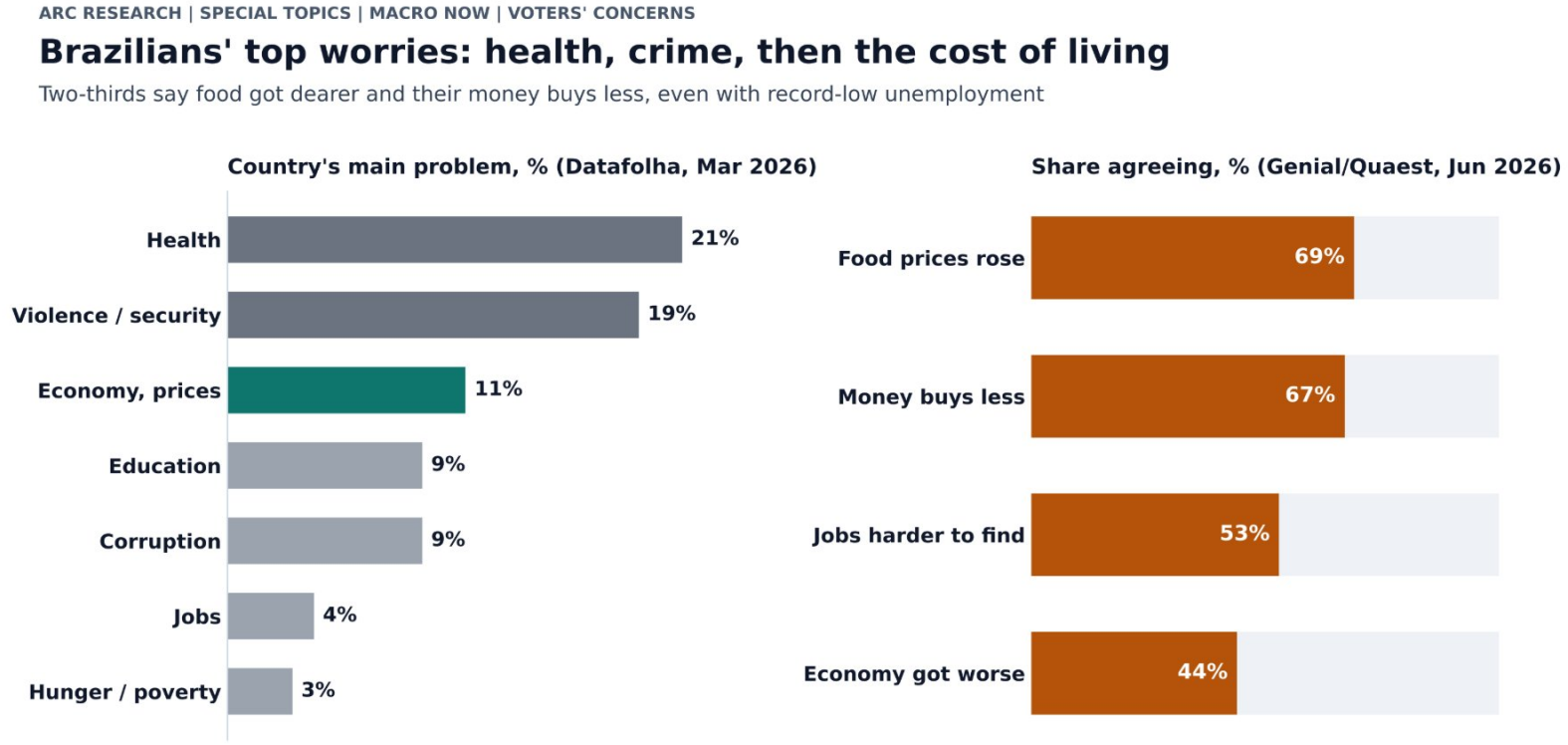
SO WHAT

Q2 GDP +0.5% q/q

Unemployment 5.3%

Tight labour, sticky prices

Jobs are plentiful, but money doesn't stretch



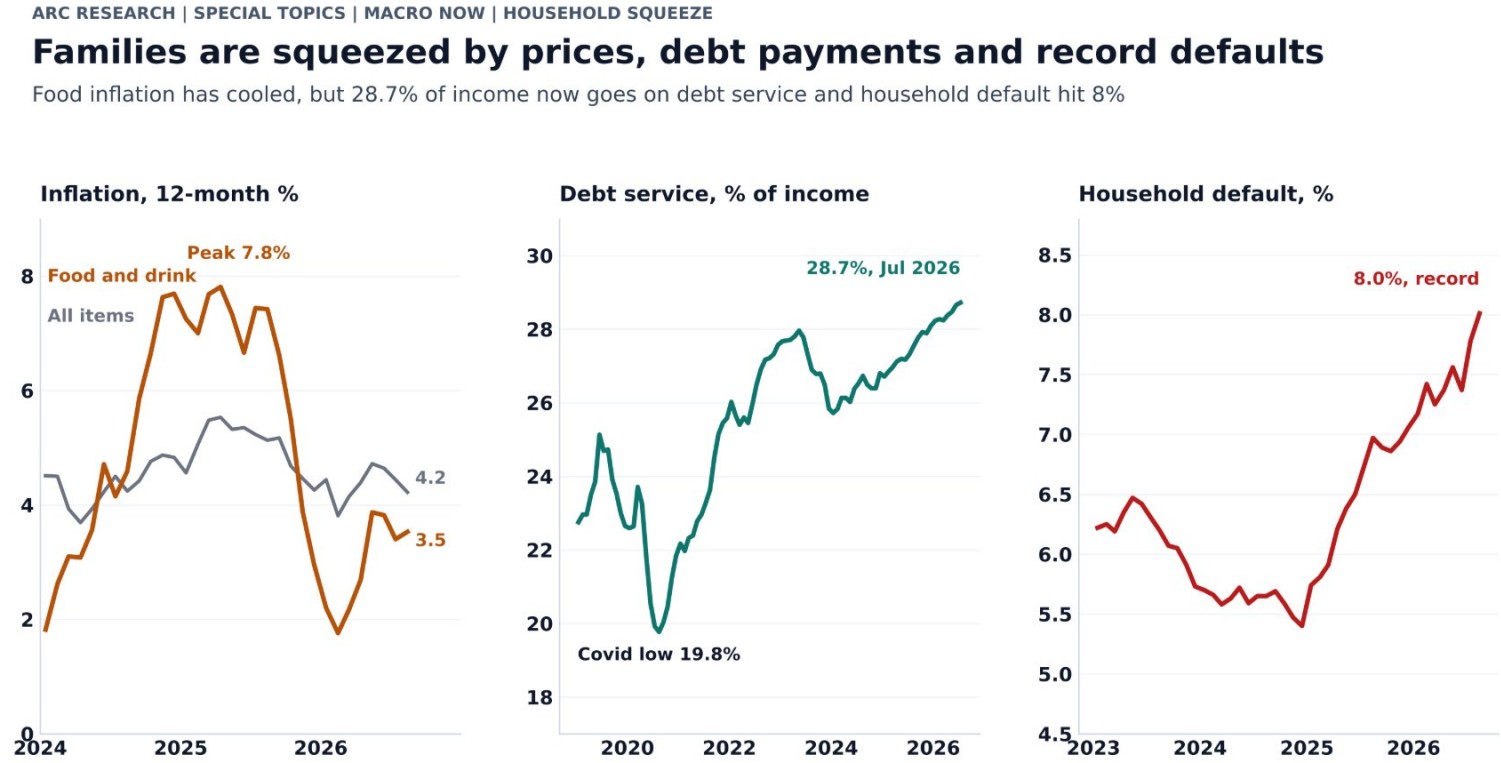
SO WHAT

Crime and health top list

69%: food got dearer

Confidence: 3-year low

Prices, debt payments, record defaults



SO WHAT

28.7% of income to debt

84m people behind on bills

Card rates ~445% a year

How household pain reaches the market

What people feel	The data	Market channel	Where it shows
Food bills	69% say dearer	Copom stays cautious	Short DI rates, BRL
Debt payments	28.7% of income	Spending slows	Retailers: Magalu
Missed payments	Default 8.0%, record	Bigger bad-loan provisions	Banks: Itaú, Bradesco, BB
Crime, health	Top two worries	Pressure to spend more	Long DI, fiscal premium
Tight jobs market	Jobless 5.3%	Wages keep inflation sticky	Selic stays high

If long rates keep falling

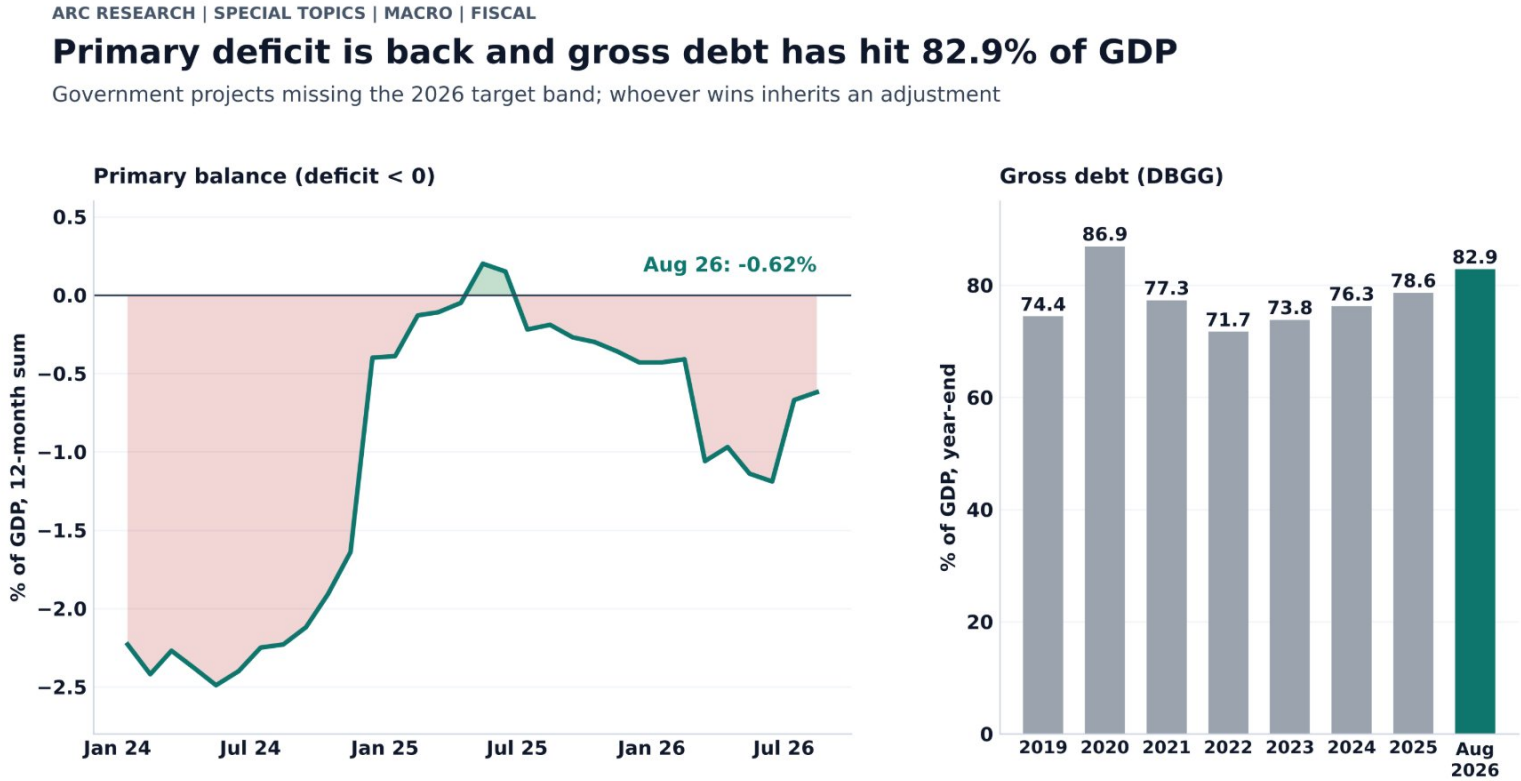
Faster cuts → debt relief → consumer names

If the rally reverses

Higher rates → squeeze lasts → defaults rise

5 Oct proof: Magalu +24%, financials +14% on the bet on lower rates

Deficit back, gross debt at 82.9% of GDP



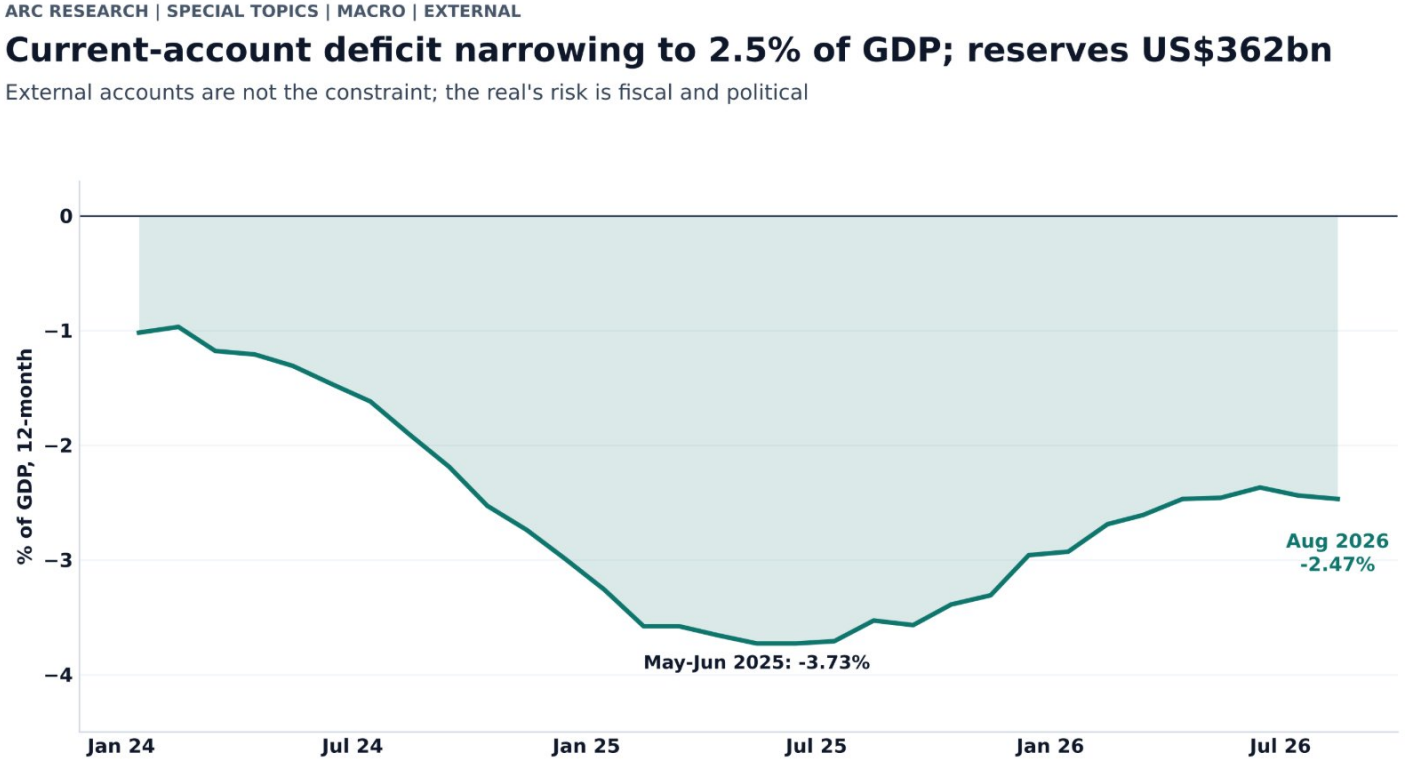
SO WHAT

2026 target likely missed

Interest bill 8.9% of GDP

Next term must adjust

External accounts are not the problem



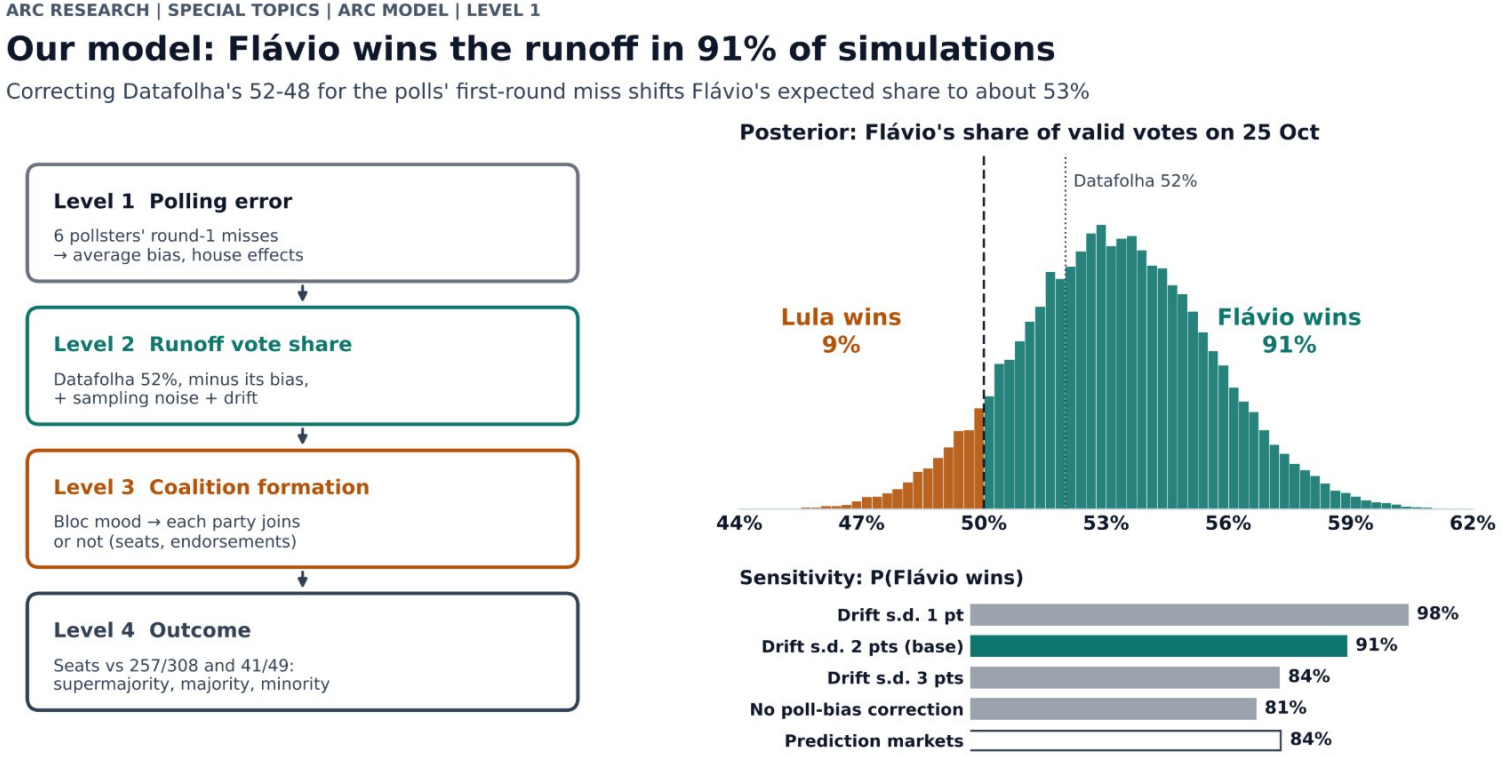
SO WHAT

Deficit narrowing: −2.5%

Reserves US$362bn

US tariff 25% since July

Model: Flávio wins in 91% of simulations



ARC Research Bayesian hierarchical model, 400k simulations; a model with stated assumptions, not a forecast. Data: final round-1 polls vs TSE result; Datafolha 6-8 Oct (52%, n=2,520). Assumptions: bias prior N(0, 2²), spread HalfNormal(2); share of house effect persisting ~Beta(2,2); 17-day drift s.d. 2 pts. Prediction markets ~84% (Rio Times, 8 Oct).

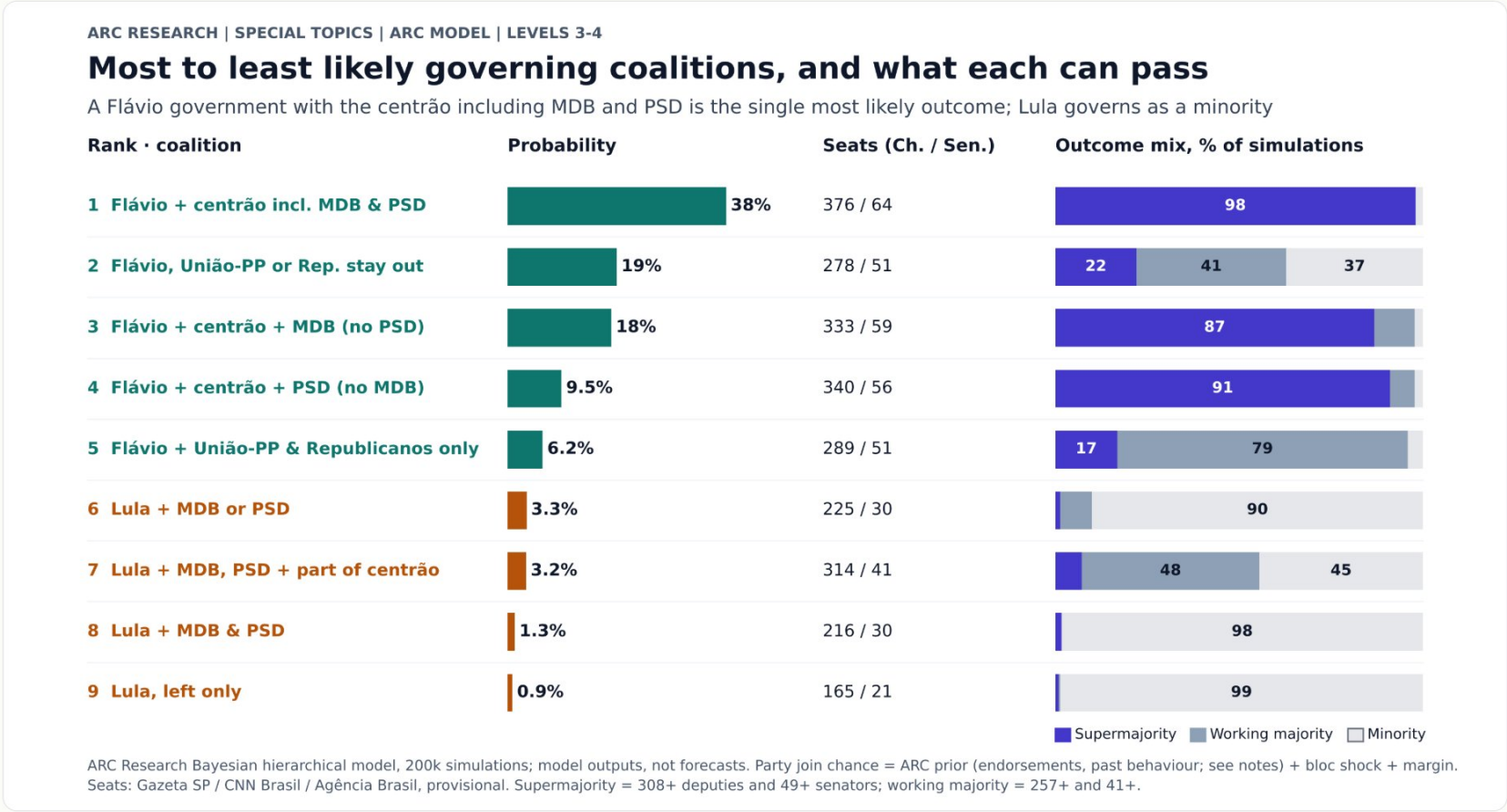
SO WHAT

Expected share ~53%

Polls under-called Flávio

Range: 81–98% by assumption

Most likely: Flávio with a supermajority



SO WHAT

Flávio: 74% supermajority

Lula: 75% minority

MDB and PSD are the swing

ARC RESEARCH VIEW (A VIEW, NOT ADVICE)

Priced for Flávio: small upside, big downside

Outcome	BRL	Ibovespa	Long DI rates	Sectors	Congress
Flávio wins · 84–87% mkts / 91% model	Toward 4.90; small gain	Modest upside; MS 215k	Further fall, partly done	State cos, banks, builders	Aligned; cuts pass
Lula wins · 13–16% mkts / 9% model	Toward 5.50; ~–9%	Rally unwinds	Up ~100 bp	Exporters, defensives	Divided; vetoes at risk

Asymmetry

Most Flávio upside already priced

Hedge the tail

Lula upset = biggest move

After 25 Oct

Fiscal credibility decides

Odds: Polymarket / Kalshi, 13 Oct · targets: JPMorgan, Morgan Stanley, Bloomberg Economics

WHAT TO WATCH

Dates that will move Brazilian assets

9 Oct	AtlasIntel runoff poll
Oct, weekly	Datafolha, Quaest, PoderData polls; September IPCA
Sun 25 Oct	Runoff · Rio governor runoff (Ruas vs Paes)
3–4 Nov	Copom: first decision after the vote
Nov–Dec	Economic team named; 2027 budget
8–9 Dec	Copom
Feb 2027	Chamber and Senate elect their presidents

SOURCES

Where every number comes from

Official data

BCB SGS: Selic, IPCA, FX, fiscal, debt, current account, reserves, credit · IBGE SIDRA: GDP, population · B3: Ibovespa portfolio · BCB Monetary Policy Report · Planalto, Câmara, Senado (laws, amendments)

Polls and odds

Datafolha (Brasil de Fato, Estado de Minas) · Quaest, CNT/MDA, AtlasIntel, PoderData (GC Mais, Revista Fórum, CNN Brasil) · Jornal Razão · Polymarket, Kalshi via Rio Times · FGV confidence · Serasa

Markets

Money Times, B3 Bora Investir, Canal Rural, Bloomberg Línea, Forbes Brasil, Rio Times, CNN Brasil, IstoÉ, InfoMoney, Elos Ayta, bpmoney, TradeMap, Trading Economics (cross-check)

Election results

TSE via Diário do Grande ABC, Chequeado · states: Quenty, Hora Brasil, Congresso em Foco, Correio 24 Horas, O Povo · governors: Brasil 61

Congress

Gazeta de SP, Times Brasil, Agência Brasil, CNN Brasil, Poder360, Congresso em Foco, Correio da Manhã, Estadão survey

Analysts and trade

JPMorgan, Morgan Stanley, Citi, Bloomberg Economics, Nomos, BTG survey · MDIC via Poder360, InvestNews · CEPEA/CNA · IMF, World Bank

Full outlet, date and figure for each slide in its speaker notes · photos supplied by the user · maps: Highcharts map collection (Natural Earth)